

US High Grade Credit Outlook

High yields, strong credit fundamentals can push spreads tighter amidst higher macro uncertainty

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See end pages for analyst certification and important disclosures.

HG Forecast: Expecting spreads to tighten with moderate total and excess returns

Our spread forecast is 85bp, return forecast is +4.5%

	12/31/25	Current	YE 2026F	Change
HG spread	89bp	96bp	85bp	-11bp
HG yield	5.2%	5.4%	5.3%	-0.1%
HG total return	7.8%	-0.2%	4.5%	4.7%
HG excess return	2.0%	-0.1%	1.5%	1.6%
HG gross supply	\$1.64tr	\$648bn	\$1.83tr	\$1.18tr
HG net supply	\$616bn	\$346bn	\$826bn	\$480bn
Rising Stars	\$10bn	\$1bn	\$17bn	\$16bn
Fallen Angels	\$55bn	\$24bn	\$31bn	\$7bn

Note: Current is as of 04/02/2026
Source: J.P. Morgan.

JPM's economic and rates outlook: Steady growth

	Actual	US economic forecasts						
	4Q25	1Q26	2Q26	3Q26	4Q26	2025	2026	2027
Real GDP (%q/q, saar)	0.7	3.3	1.5	1.5	1.8	2.0	2.0	2.0
Real consumer spending (%q/q, saar)	2.0	1.5	1.5	1.4	1.5	2.1	1.5	1.7
Core PCE prices (%q/q, saar)	2.7	4.0	3.3	2.6	2.2	2.9	3.0	2.4
Unemployment rate (% qtr avg)	4.5	4.4	4.4	4.3	4.2	4.3	4.3	4.1
Fed funds target (% top of range)	3.75	3.75	3.75	3.75	3.75			
2yr Treasury	3.47	-	3.70	3.80	3.85			
5yr Treasury	3.73	-	3.90	4.00	4.05			
10yr Treasury	4.17	-	4.25	4.30	4.35			
30yr Treasury	4.84	-	4.85	4.85	4.85			

Note: Full-year 2025/2026 Real GDP, Consumer spending & Core PCE prices reflect %q4/q4, Unemployment rate reflects %y/y, Source: J.P. Morgan forecasts as of 03/13/2026

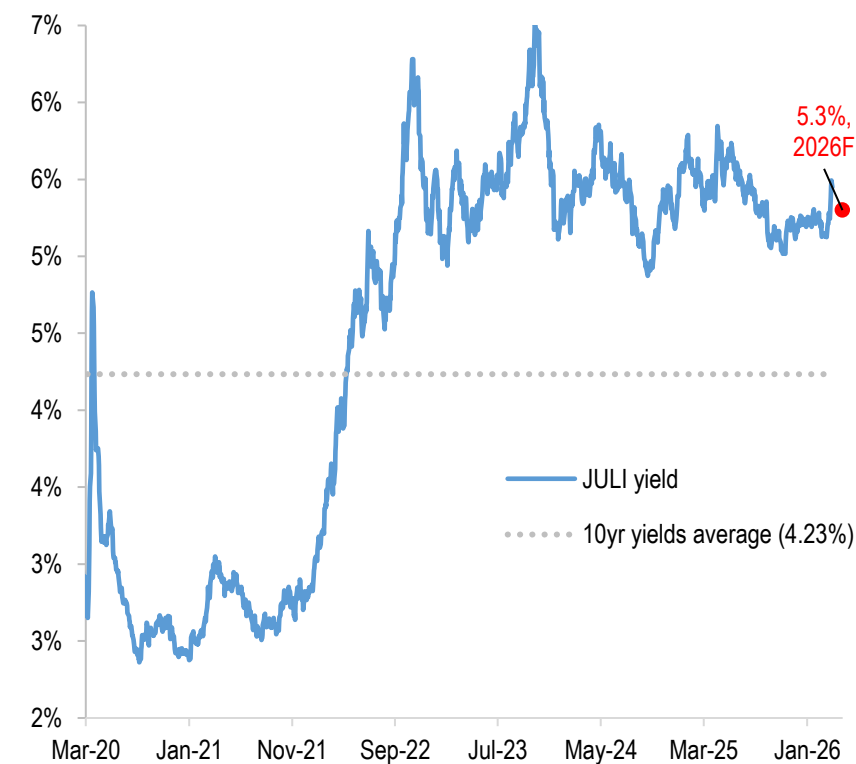
The ongoing conundrum: Still tight spreads versus attractive yields

HG bond spreads off recent tights



Source: J.P. Morgan. As of 03/16/2026

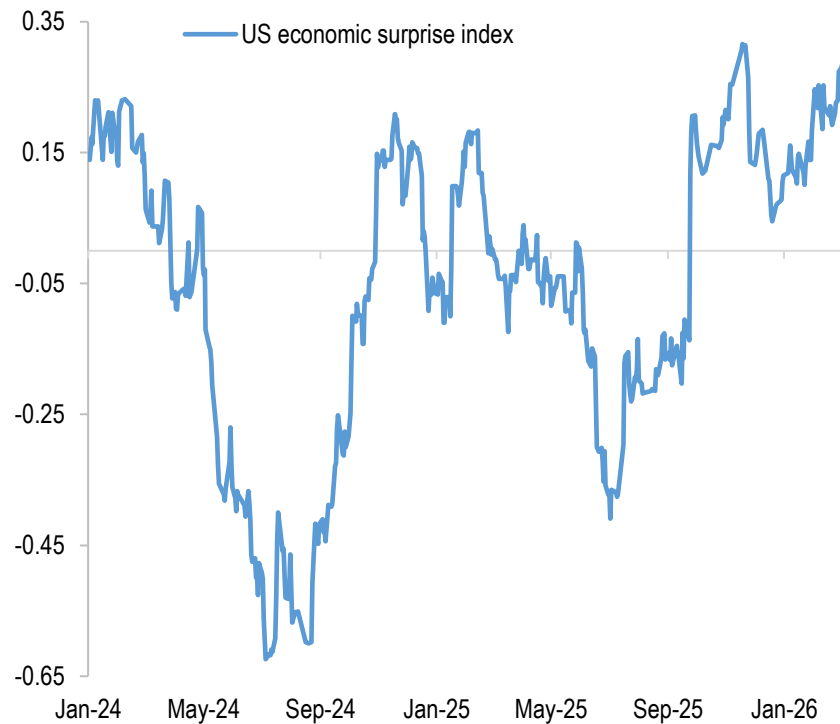
HG bond yields are at a level which has led to strong demand



Source: J.P. Morgan. As of 03/16/2026

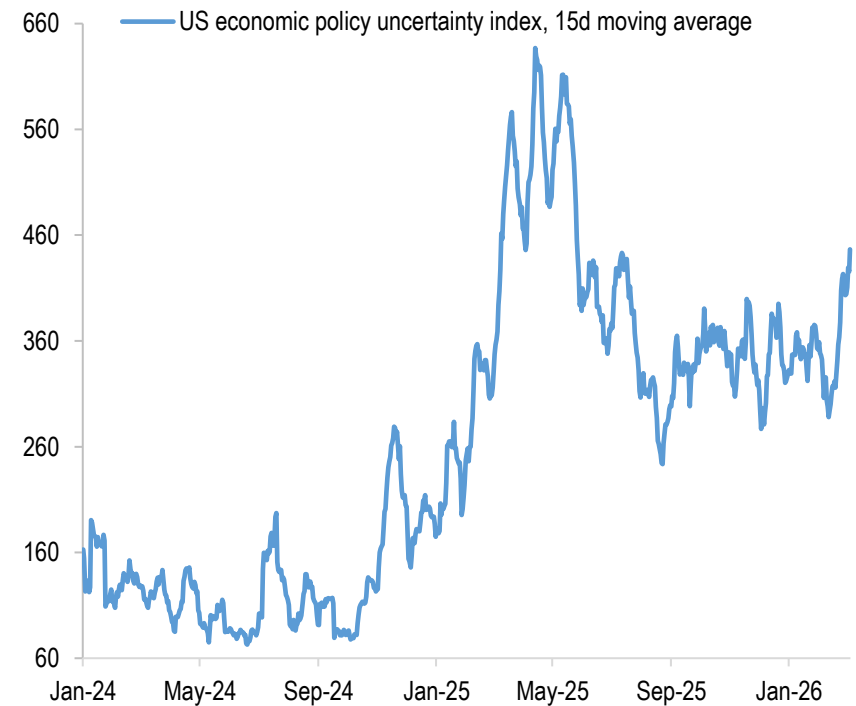
Fundamentals are strong but fundamental uncertainty is higher, a restraint on 'animal spirits'

US growth continues to surprise to the upside



Source: J.P. Morgan, Bloomberg L.P. Finance

But the uncertainty around future growth prospects is rising



Source: J.P. Morgan, Bloomberg L.P. Finance

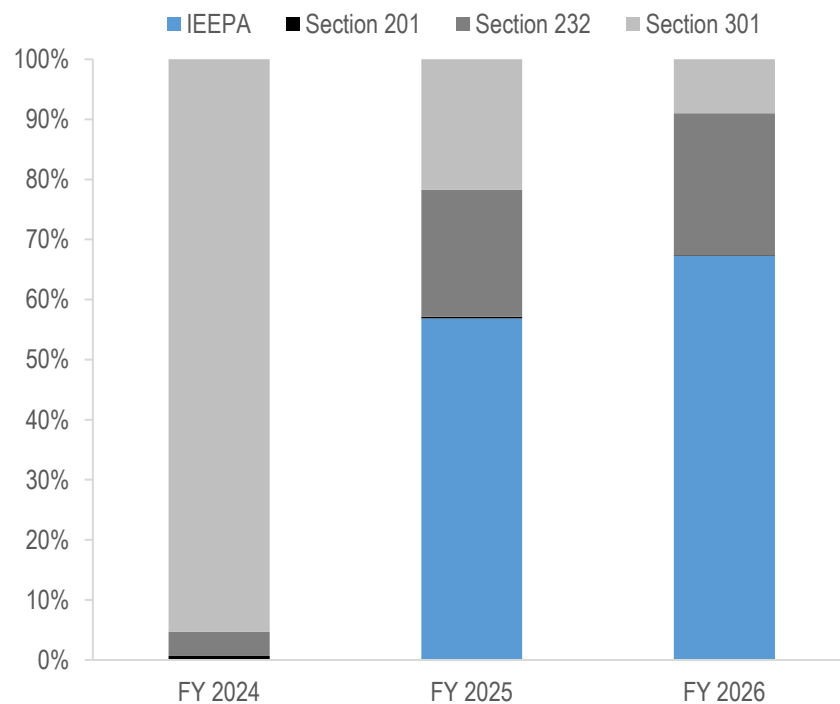
The Middle East conflict may move markets near term but it's unlikely to be a negative for spreads unless the Fed hikes

Geopolitical event	Total return				Spread change (bp)				Fed rate at conflict start (%)	Rate change in 12m (%)
	1m	3m	6m	12m	1m	3m	6m	12m		
Arab Israeli War (Oct 1973)	1.1%	-0.2%	-5.9%	-5.0%					9.00	0.25
USSR - Afghanistan War (Dec 1979)	-1.0%	-0.5%	4.4%	-8.7%					10.00	4.00
Iran-Iraq War (Sept 1980)	-1.0%	1.3%	1.0%	-6.6%					12.00	3.50
Falkland's War (April 1982)	1.9%	4.0%	24.9%	41.6%					13.00	-4.50
US Grenada conflict (Oct 1983)	1.2%	3.7%	0.3%	14.2%					9.50	0.50
US Libya conflict (Apr 1986)	-1.1%	1.2%	4.7%	6.1%					6.75	-0.25
Gulf War (Aug 1990)	0.5%	3.0%	7.6%	15.2%	14	50	30	2	8.00	-2.50
Somalia Intervention (Dec 1992)	2.3%	5.0%	8.6%	12.2%	-2	-6	-11	-15	3.00	0.00
Bosnia Intervention (Feb 1994)	-3.1%	-4.4%	-2.1%	1.4%	6	13	4	5	3.25	2.75
Kosovo War (Mar 1999)	0.3%	-1.6%	-1.3%	0.2%	0	10	20	44	4.75	1.25
Afghanistan War (Oct 2001)	-0.8%	-0.7%	-0.7%	3.6%	-23	-29	-14	46	2.50	-1.00
Iraq War (Mar 2003)	2.0%	5.1%	5.0%	9.0%	-26	-36	-48	-62	1.25	-0.25
Russia Crimea conflict (Sep 2014)	0.1%	2.6%	4.2%	6.5%	-3	-8	-7	14	0.13	0.00
Russia Ukraine War (Feb 2022)	-2.5%	-7.0%	-9.4%	-10.4%	-6	8	18	2	0.13	4.50
Average (1990-present)	-0.2%	0.3%	1.5%	4.7%	-5	0	-1	5		0.59
Std Dev (1990-present)	1.9%	4.4%	6.0%	8.0%	14	27	25	34		2.20
Average when Fed was hiking	-1.8%	-4.3%	-4.3%	-3.0%	0	10	14	17		
Average when Fed was cutting/paused	0.8%	3.0%	4.9%	9.3%	-8	-6	-10	-3		

Source: J.P. Morgan.

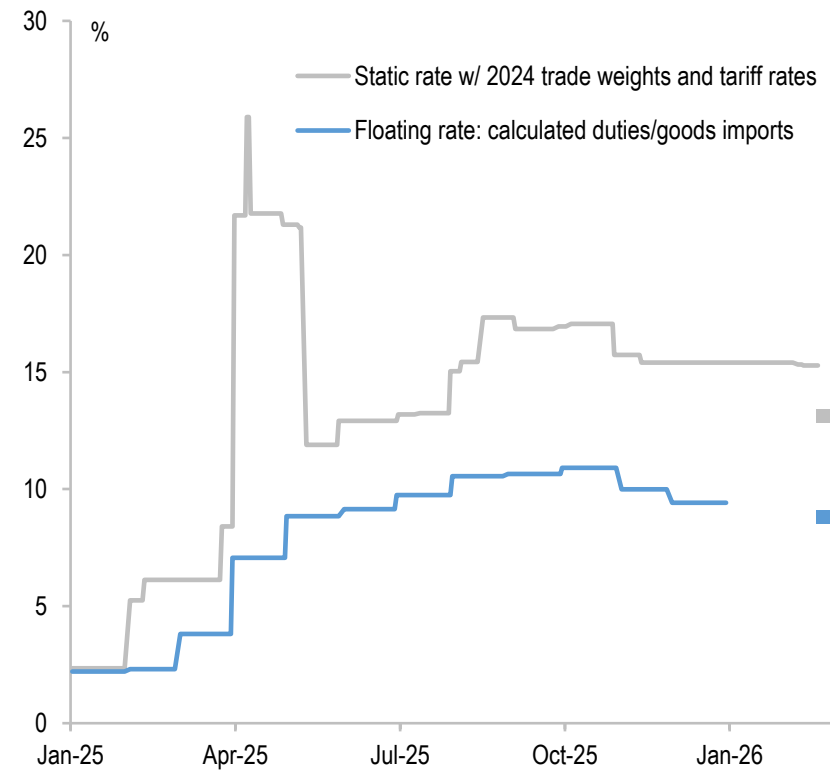
An update on trade policy

A majority of current tariff revenue stems from IEEPA tariffs



Source: J.P. Morgan, Bloomberg Finance L.P.

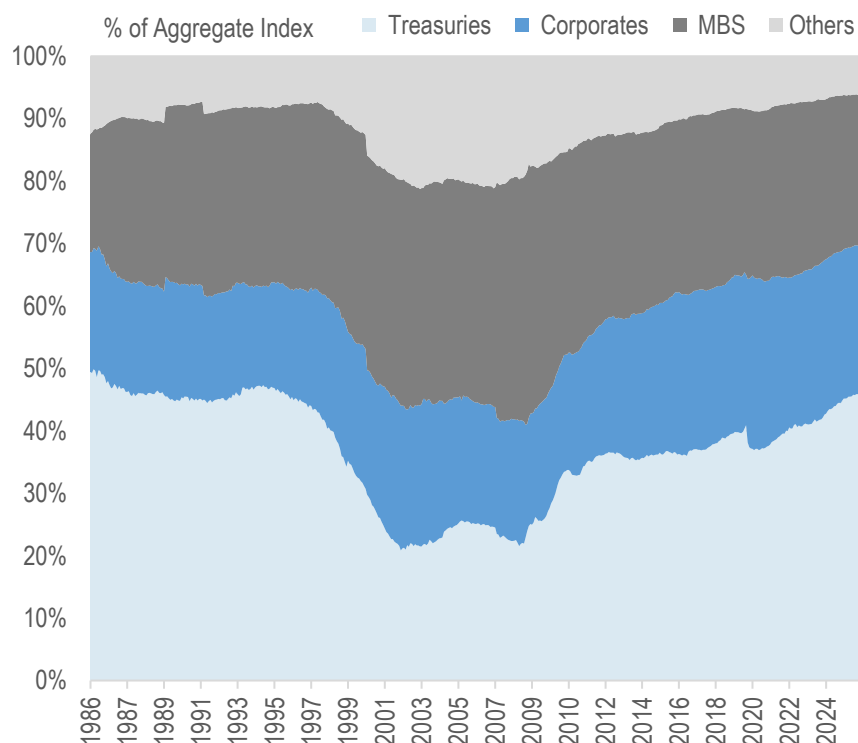
Static and Floating effective tariff rates



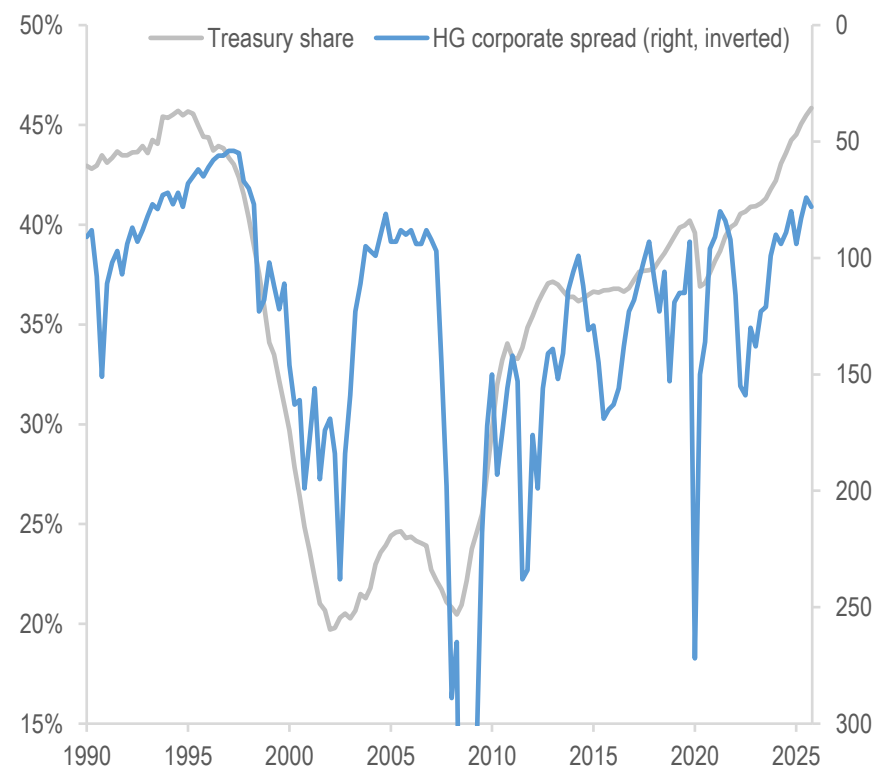
Source: J.P. Morgan, Census Bureau

Rising fiscal deficits are positive for credit spreads

The share of Treasuries has been steadily rising in the Aggregate index...



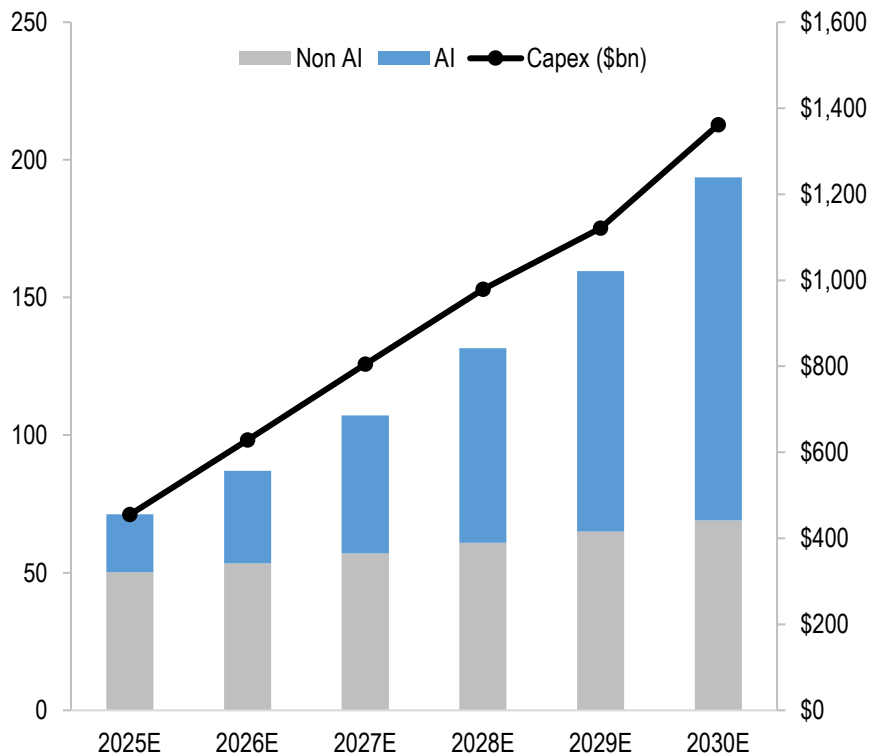
...and this has biased corporate spreads tighter



Source: J.P. Morgan, Bloomberg Finance L.P.

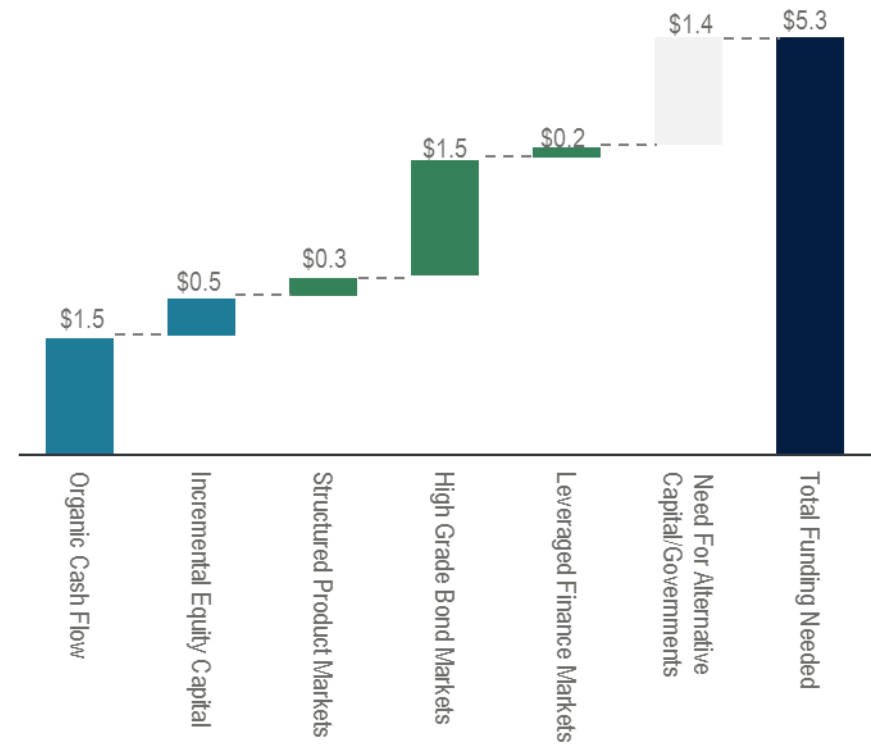
The global data center and AI buildout will be an extraordinary and sustained capital markets event

Data Center Installed Base (GW) vs. Annual Capex (\$bn)



Source: J.P. Morgan

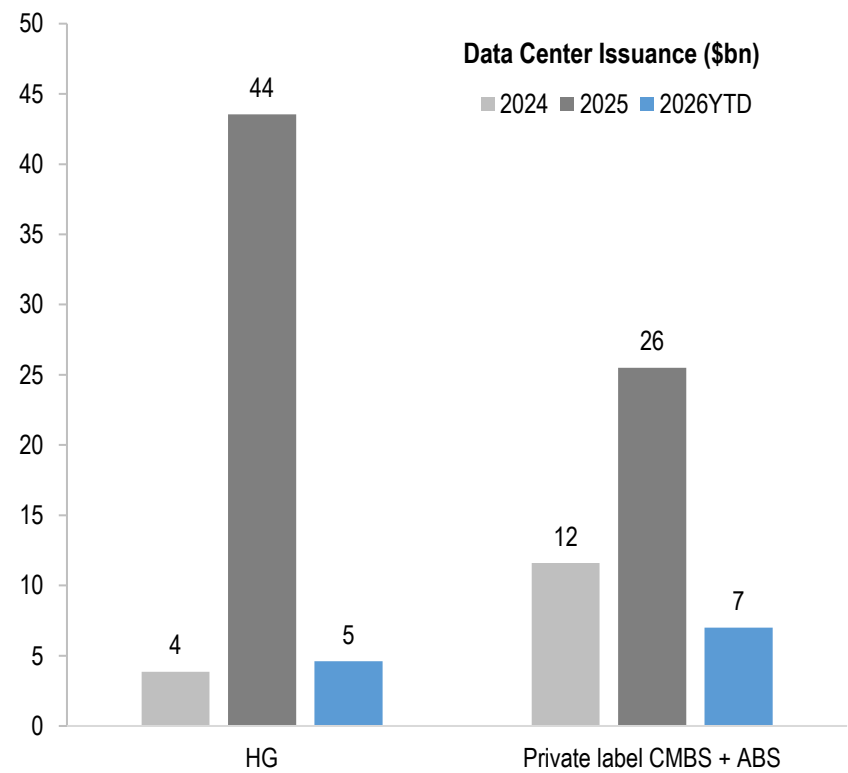
AI/Data Center Funding Sources



Source: J.P. Morgan estimates. Reflects assumed permanent financings.

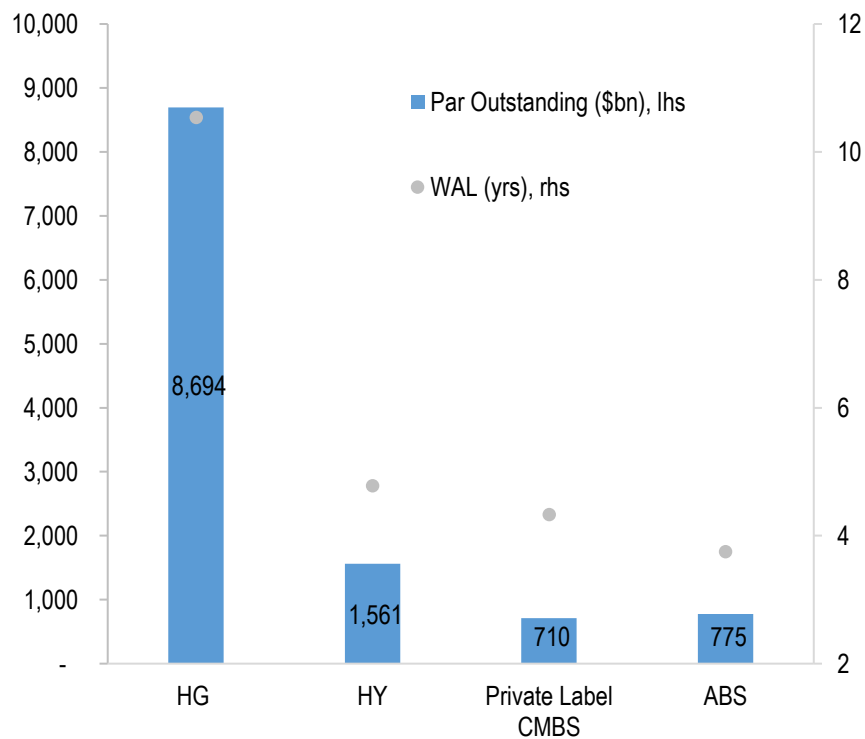
Datacenter issuance morphing from ABS/CMBS to HG as funding sizes grow

HG Data Center issuance in the HG bond market has gone from far behind to far ahead of the asset-backed markets



Source: J.P. Morgan. As of 11/9/2025

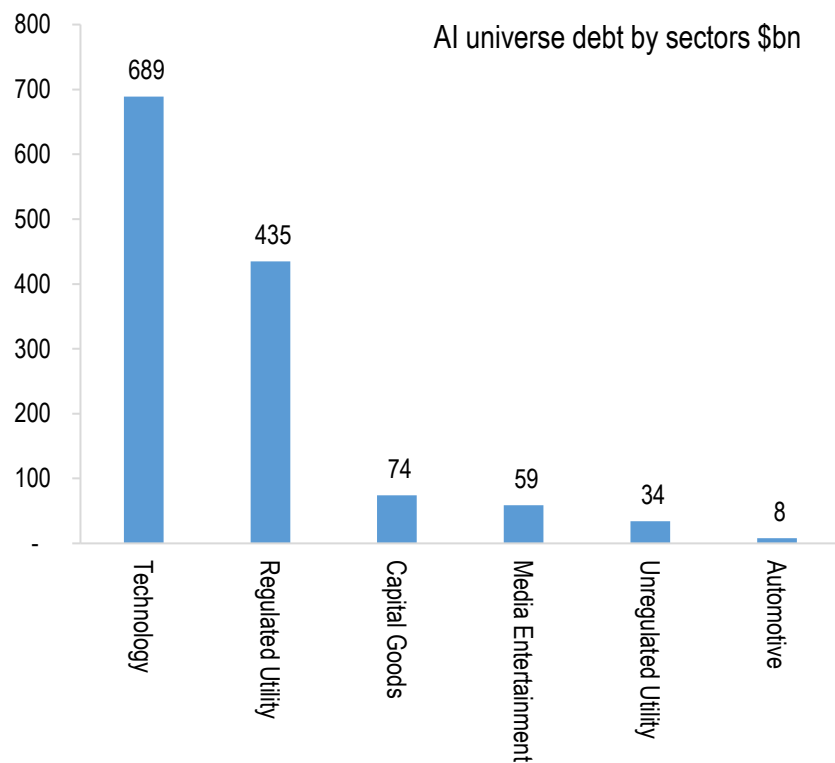
Structuring funding to leverage the HG market instead of the ABS/CMBS markets opens up a larger pool of demand



Source: J.P. Morgan. As of 11/9/2025

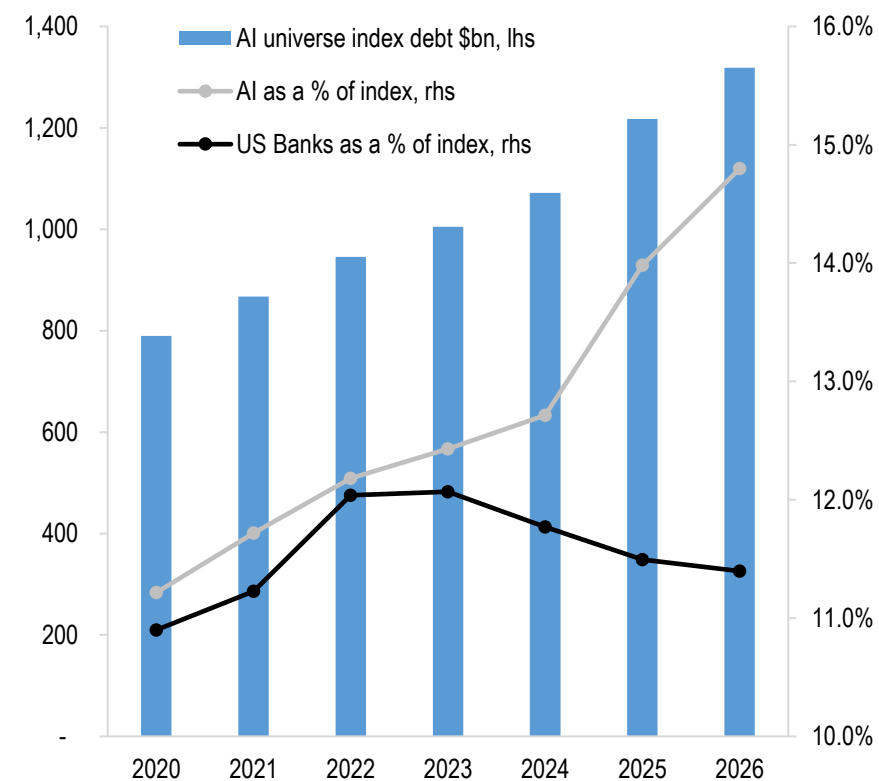
The recent AI capex boom is rapidly changing the HG market sector mix

AI-related debt in the index by sectors



Source: J.P. Morgan, Dealogic

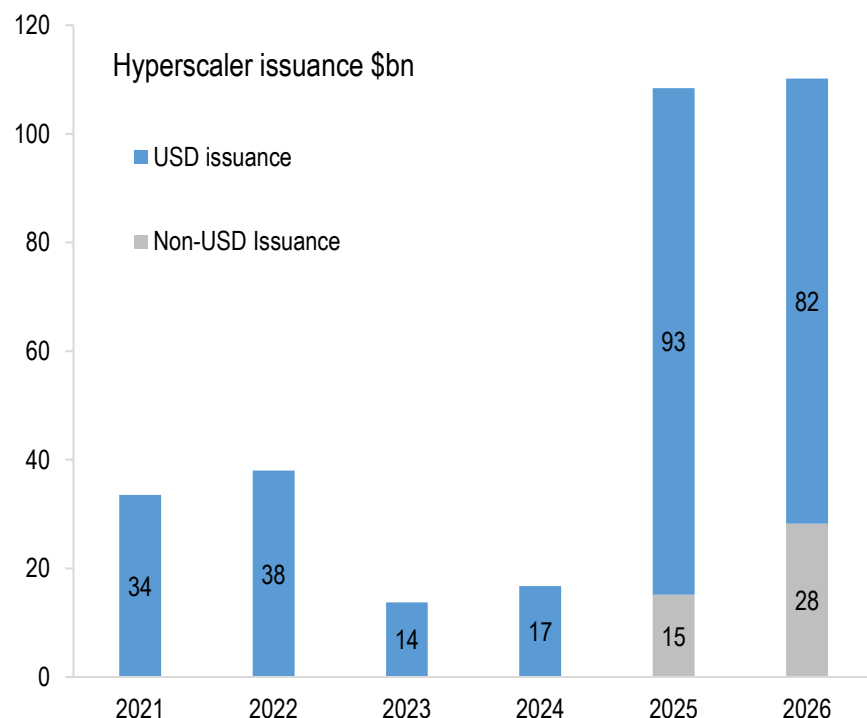
14.8% of IG debt is tied to AI, making it in a sense the biggest 'sector' in the market



Source: J.P. Morgan

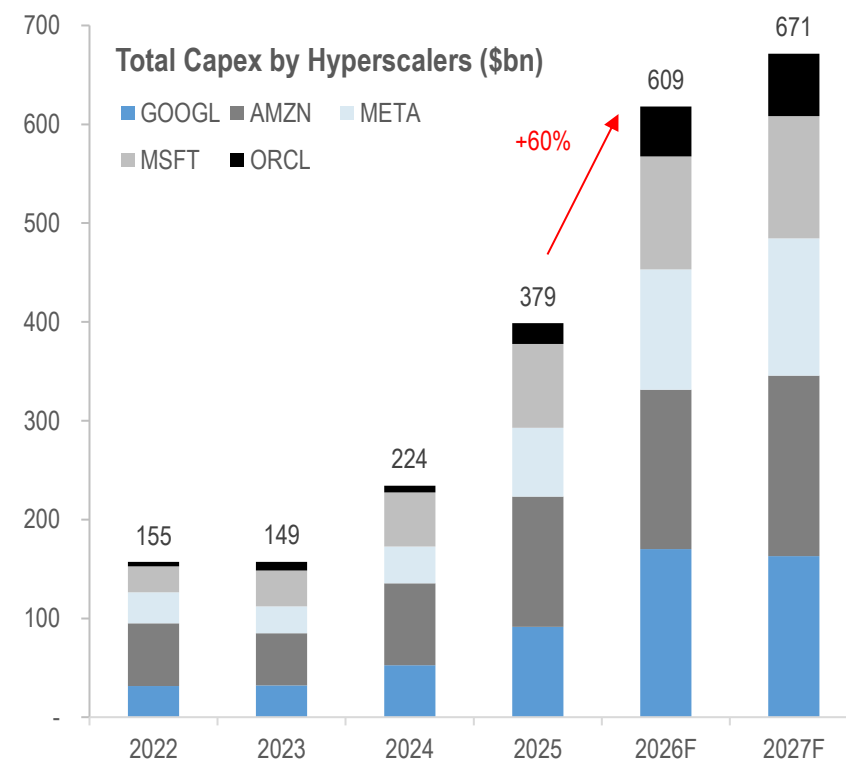
Hyper-issuing: Already ahead of FY 2025 including non-USD which has doubled

Hyperscaler issuance: Non-USD portion rapidly expanding



Source: J.P. Morgan, Dealogic, Bloomberg Finance L.P.

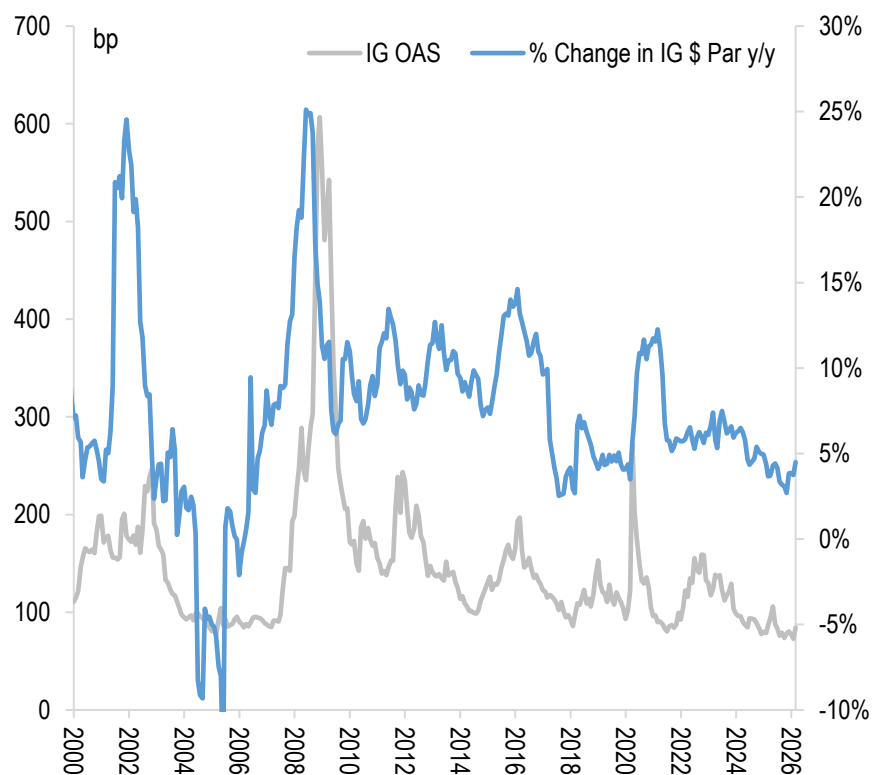
Potentially more upside to issuance



Source: J.P. Morgan, Bloomberg Finance L.P.

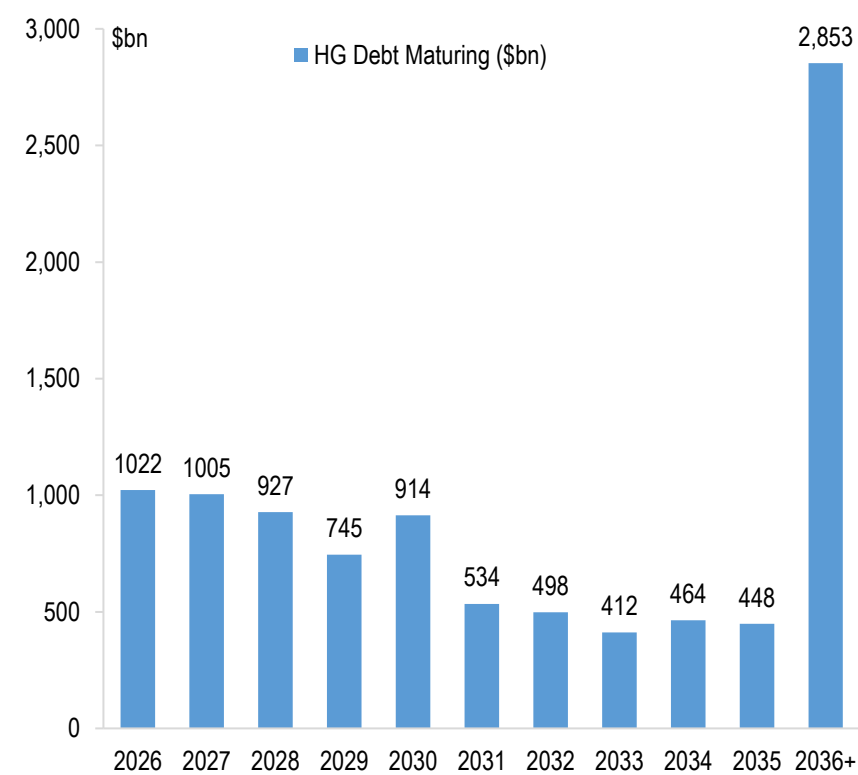
The HG bond market is growing at the slowest pace in 20 years heading into the AI funding boom, and maturities are elevated for next 5 years

The HG market is growing very slowly, a support for spreads



Source: J.P. Morgan, Bloomberg Finance L.P. As of 2/27/2026

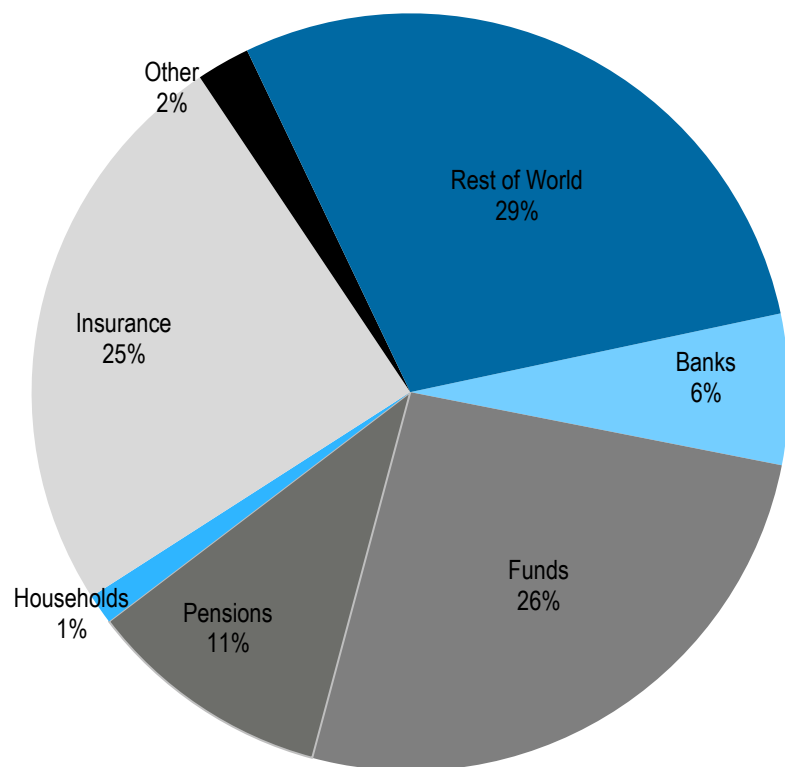
There is no maturity wall in HG credit in the coming years but lots of maturities to re-invest



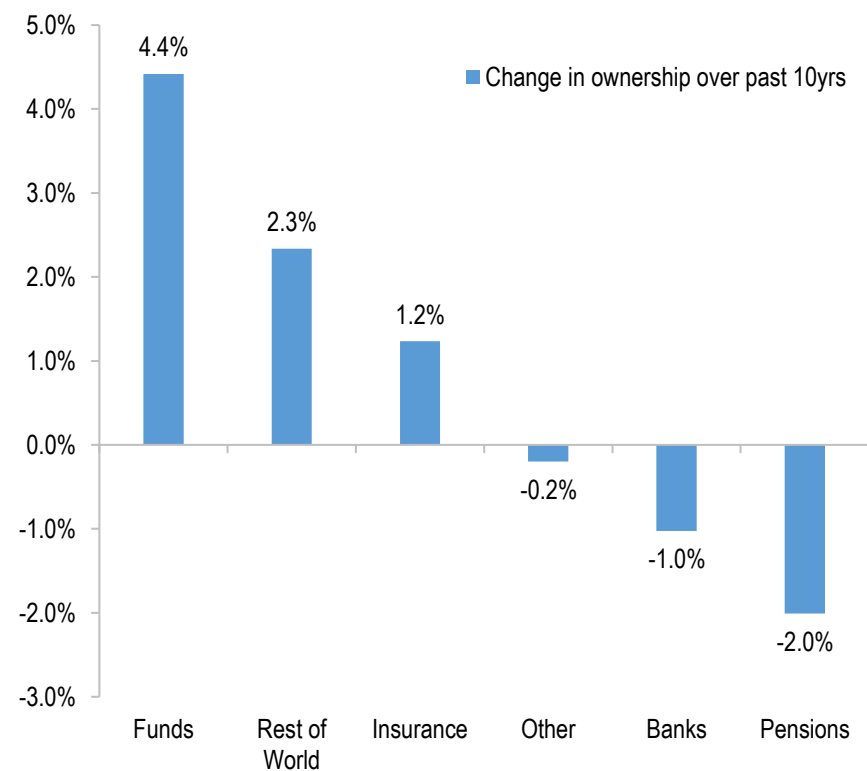
Source: J.P. Morgan

Technicals: A diverse pool of demand: US Institutional, US Retail and Foreign

Corp bond ownership across different investors classes



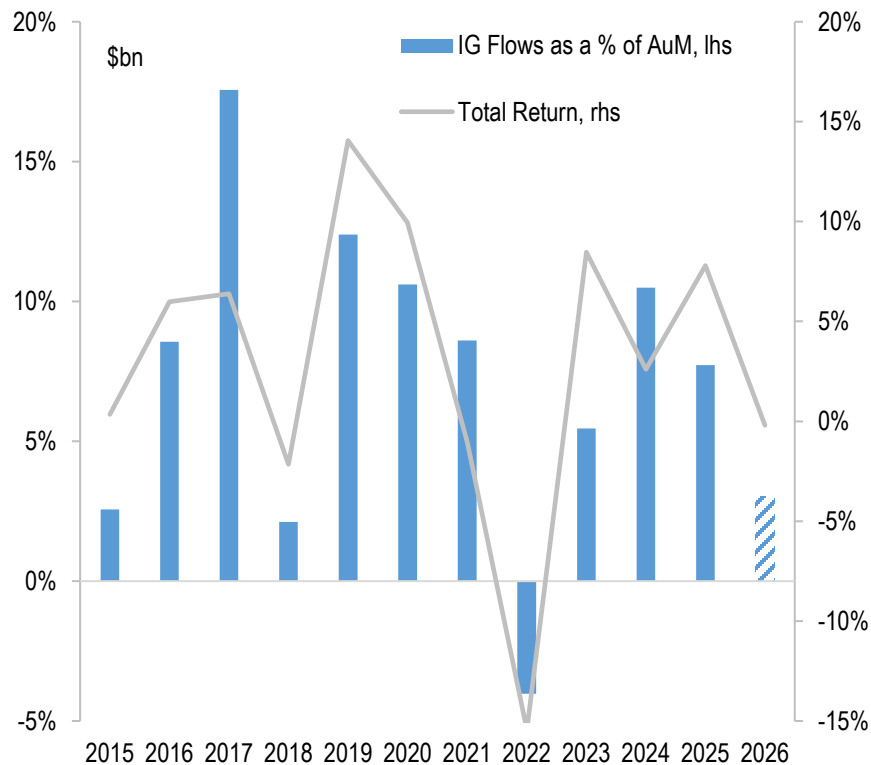
Funds and overseas investor have led demand for US credit over the past 10 years



Source for both: J.P. Morgan, Federal Reserve as of 4Q25.

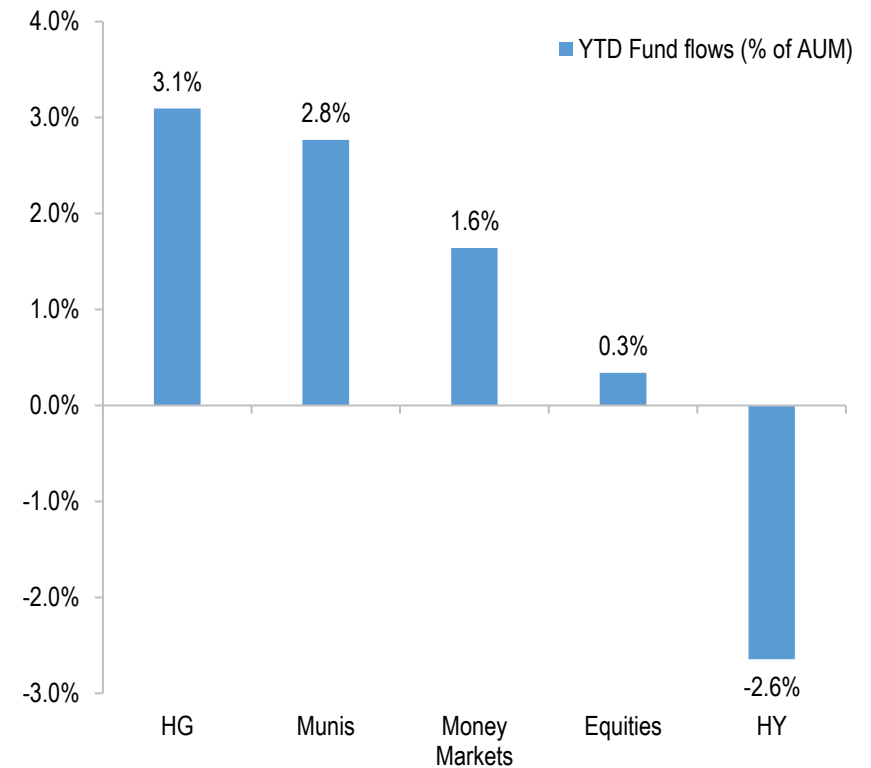
Technical: Domestic demand is strong even with low returns, e.g. high yields the key driver

Flows are sensitive to returns, but less so than in the past



Source: J.P. Morgan, EPFR. As of 04/01/2026

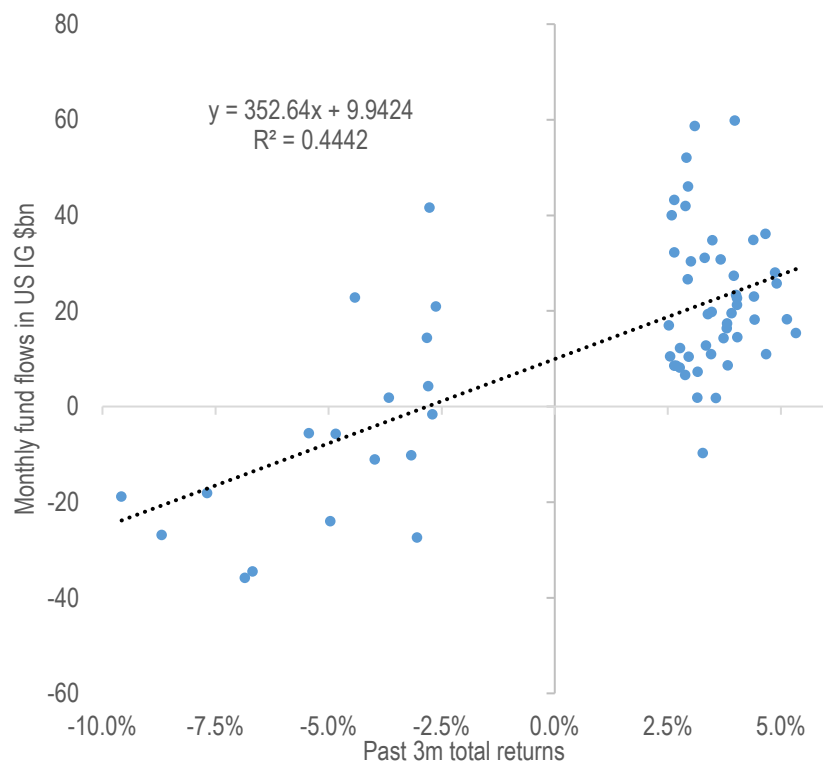
HG benefitting from up in quality bias evident in fund flows YTD



Source: J.P. Morgan, EPFR. As of 04/01/2026

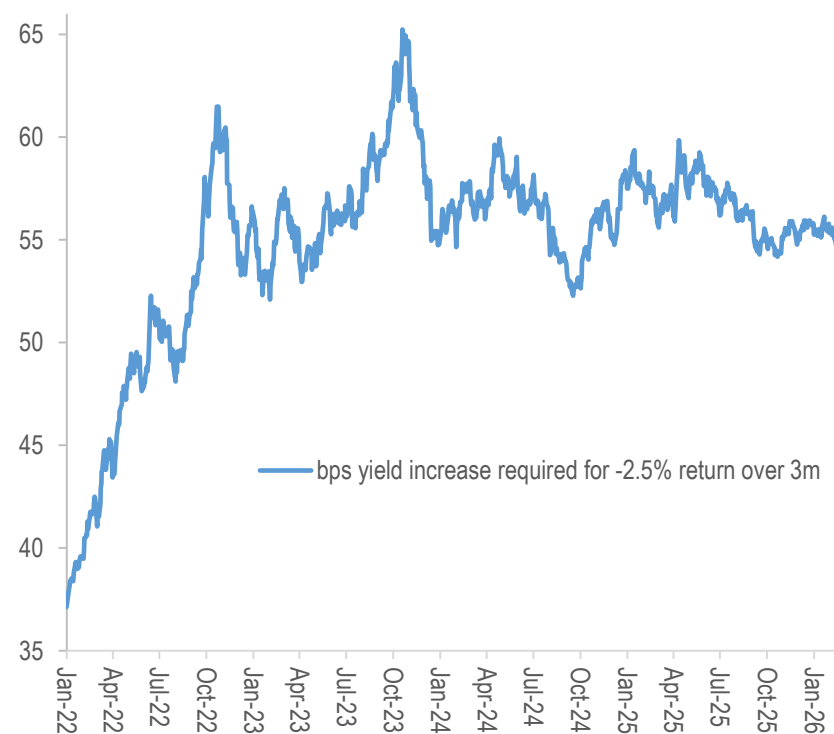
Technical: Fund flows have become more correlated to yields than total returns

When returns are +/- 2.5% over a 3m period there is a strong correlation to fund flows



Source: J.P. Morgan, EPFR. As of 2/25/2026

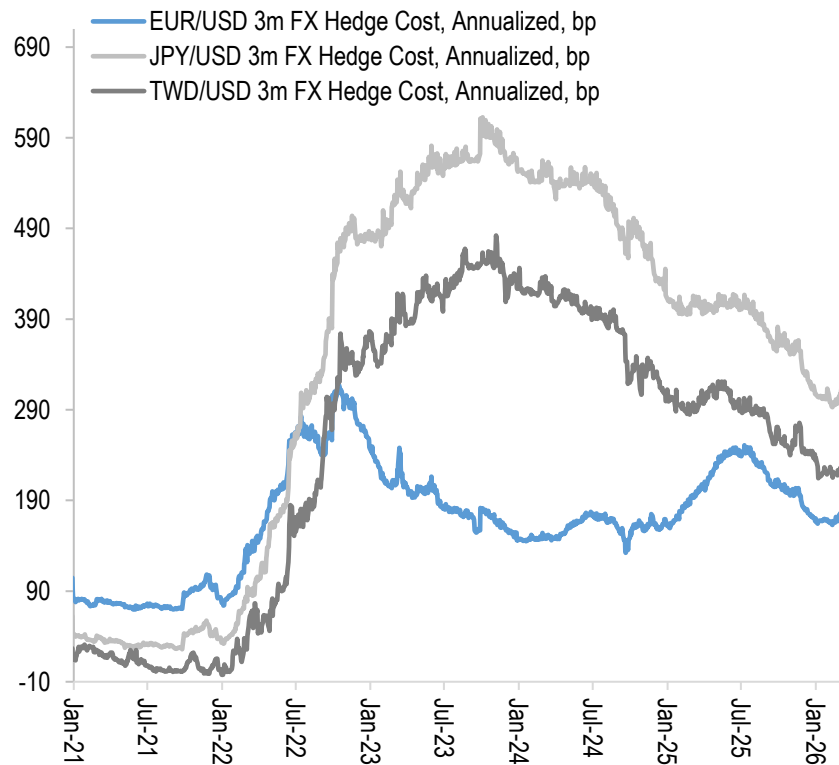
A >55bp increase in yields is required to trigger outflows



Source: J.P. Morgan

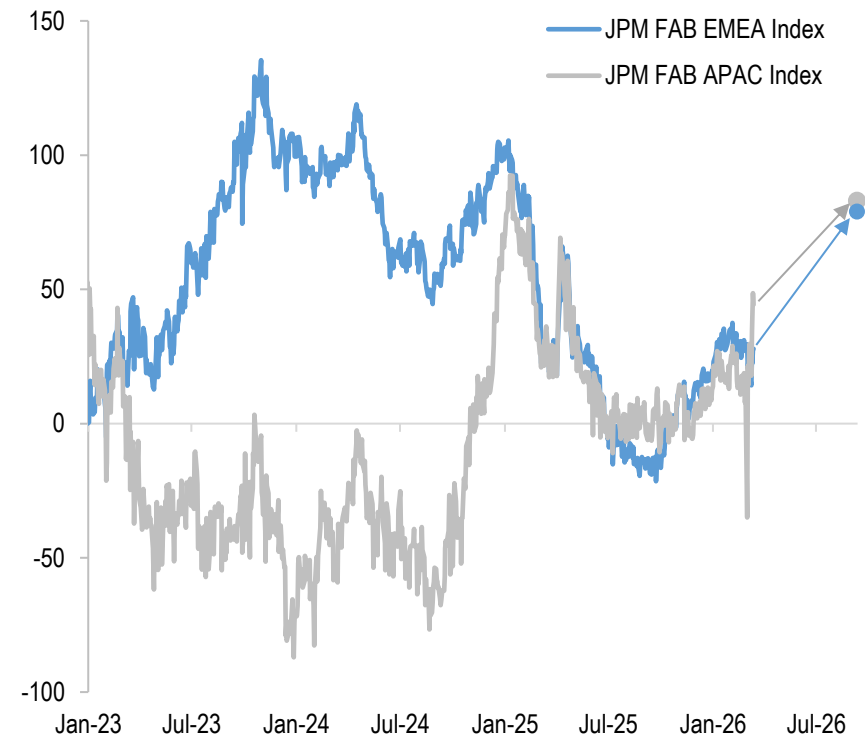
Technical: Foreign demand RV has been steadily improving – current strong demand likely a reflection of this dynamic

FX hedging costs for Japan and Taiwan still high but trending down whereas Eurozone rangebound



Source : J.P. Morgan; Bloomberg Finance L.P. As of 03/16/2026

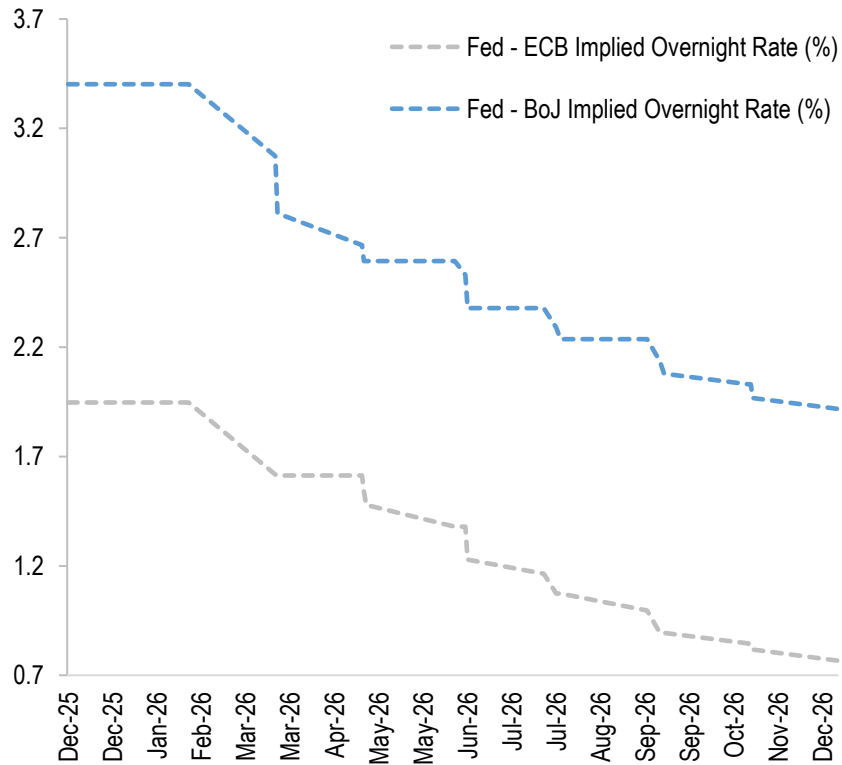
The trajectory for hedging costs is lower such the RV is expected to improve



Source: J.P. Morgan, Bloomberg Finance L.P. As of 03/13/2026

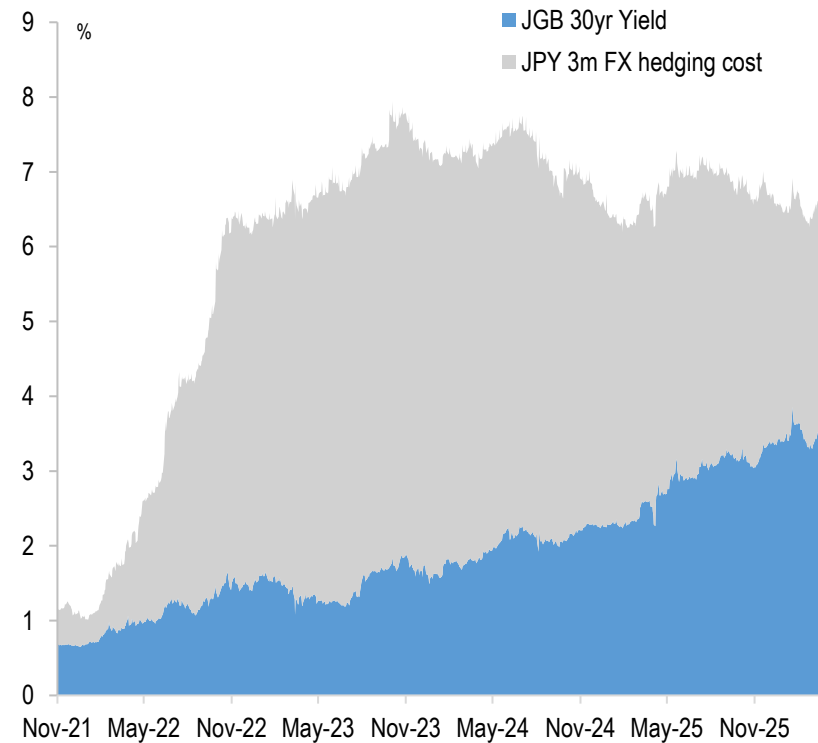
Technical: USD HG RV for Japan has improved despite higher JGB yields

Policy rate convergence implies lower hedging costs, especially if the BoJ hikes in 2026



Source: J.P. Morgan, Bloomberg Finance L.P.

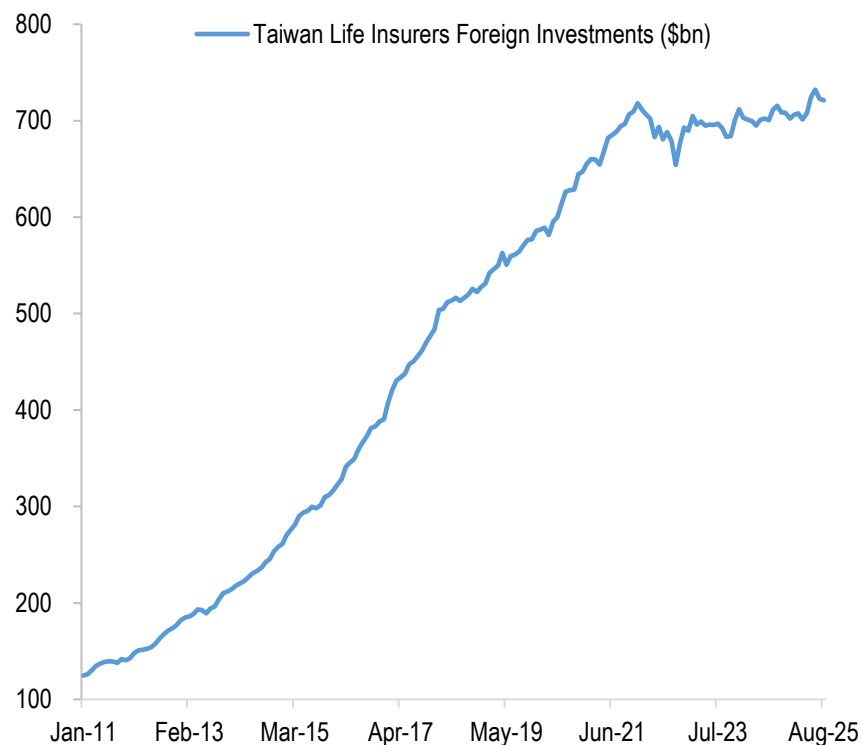
Rising JGB yields may potentially moderate the uptick in foreign demand from lower hedging costs



Source: J.P. Morgan, Bloomberg Finance L.P.

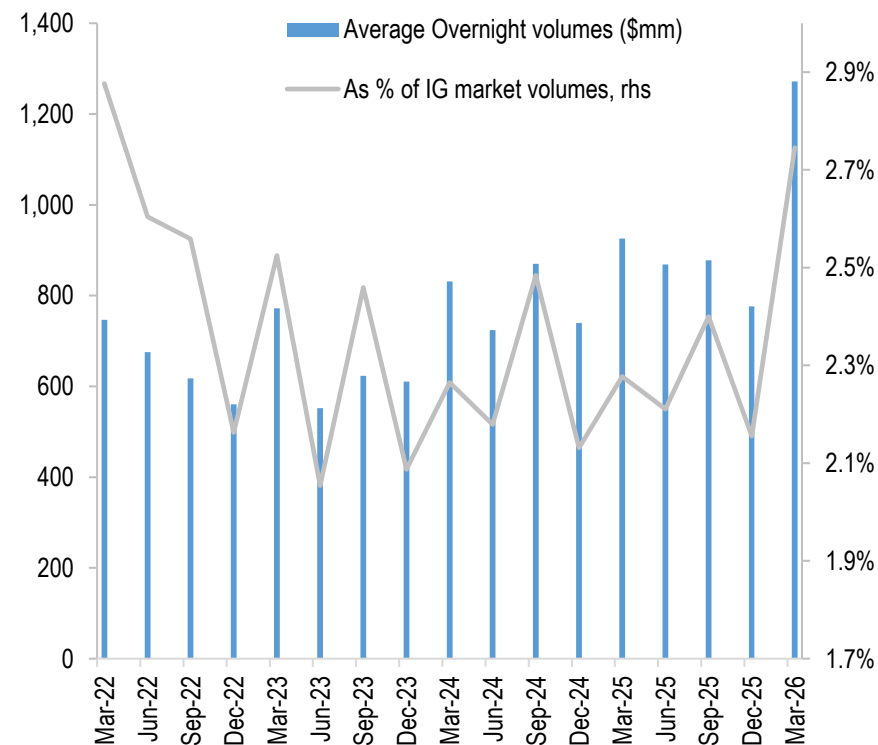
Technical: Taiwan a renewed buyer of the long-end

Taiwan demand was flat in recent years but we expect this To inflect higher in 2026 post regulatory changes



Source: J.P. Morgan, Bloomberg Finance L.P.

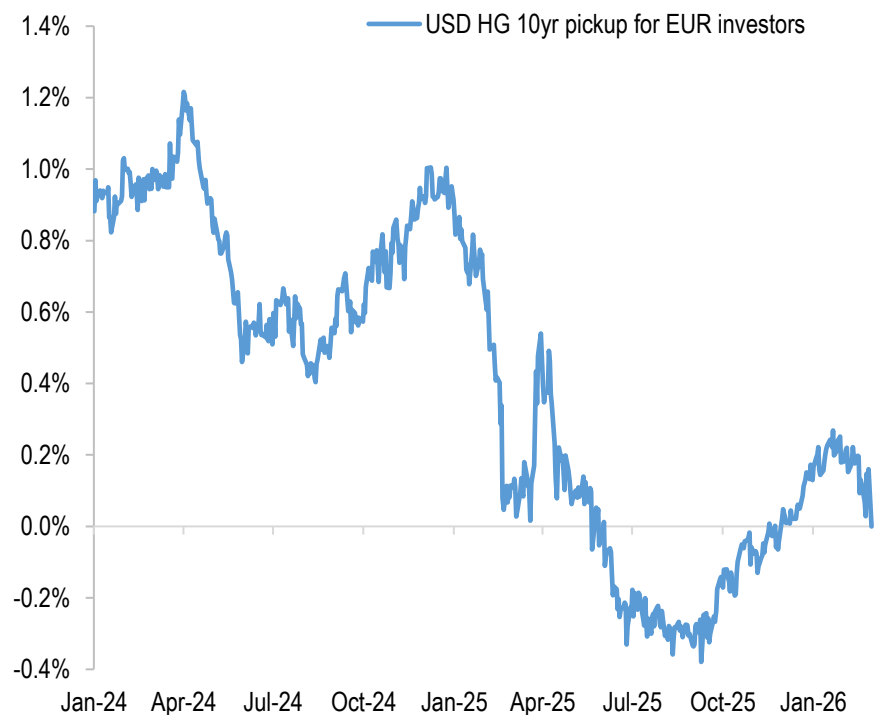
Overnight trading volumes at record high and proportion highest since Q1 2022



Source: J.P. Morgan, TRACE

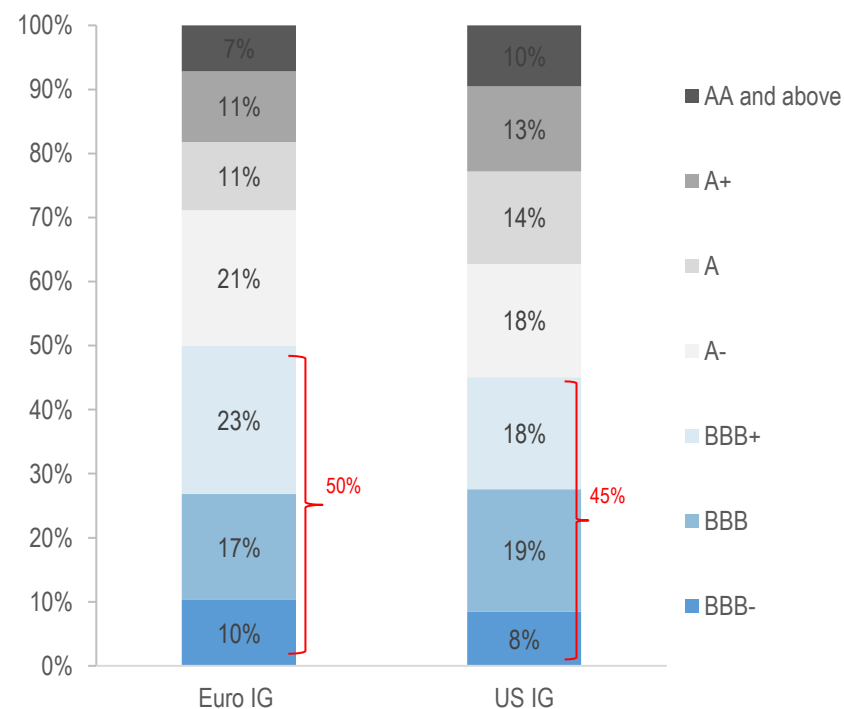
Technical: EMEA demand should trend up as hedging costs come down

The USD HG pickup for Euro investors has bounced as hedging costs decline



Source: J.P. Morgan, Bloomberg Finance L.P. As of 3/13/2026

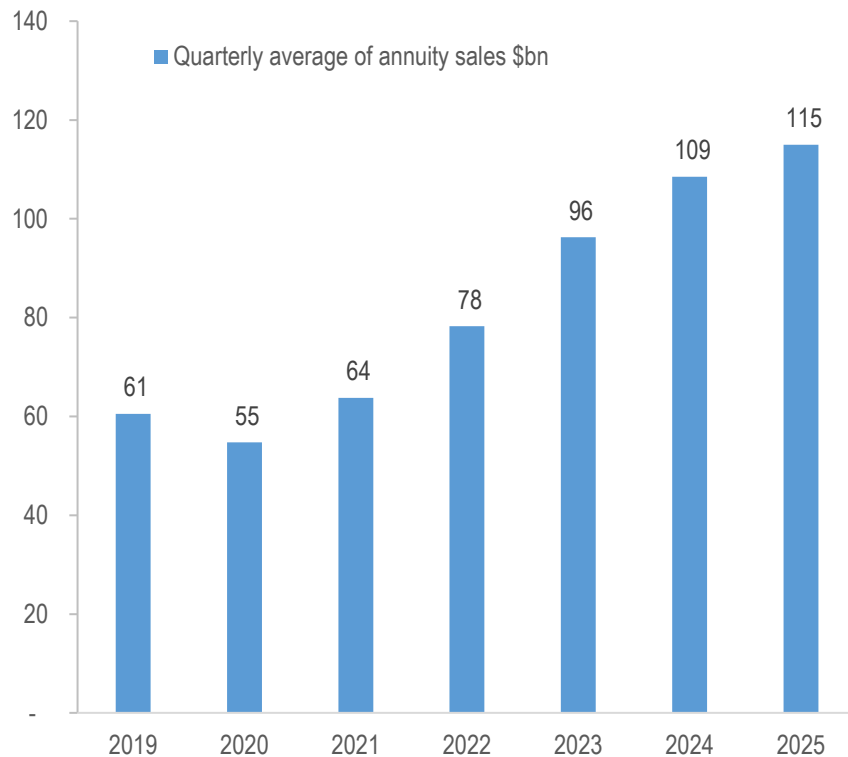
EUR HG is lower rated than USD HG and Europe more sensitive to a commodity spike



Source: J.P. Morgan, Bloomberg Finance L.P.; As of 3/5/2026

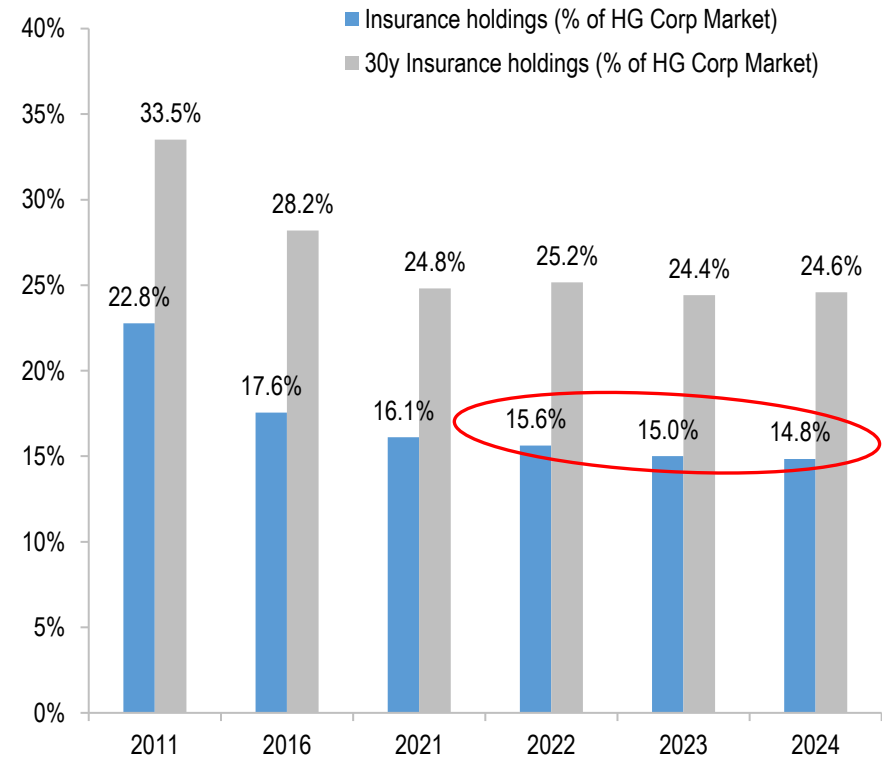
Technical: Insurance demand for public HG should be underpinned by strong annuity sales, yet insurance ownership of the HG bond market is declining

Increase in annuity sales yet another source of marginal demand for HG credit



Source: J.P. Morgan, US Individual annuity sales survey, LIMRA. As of 3Q25

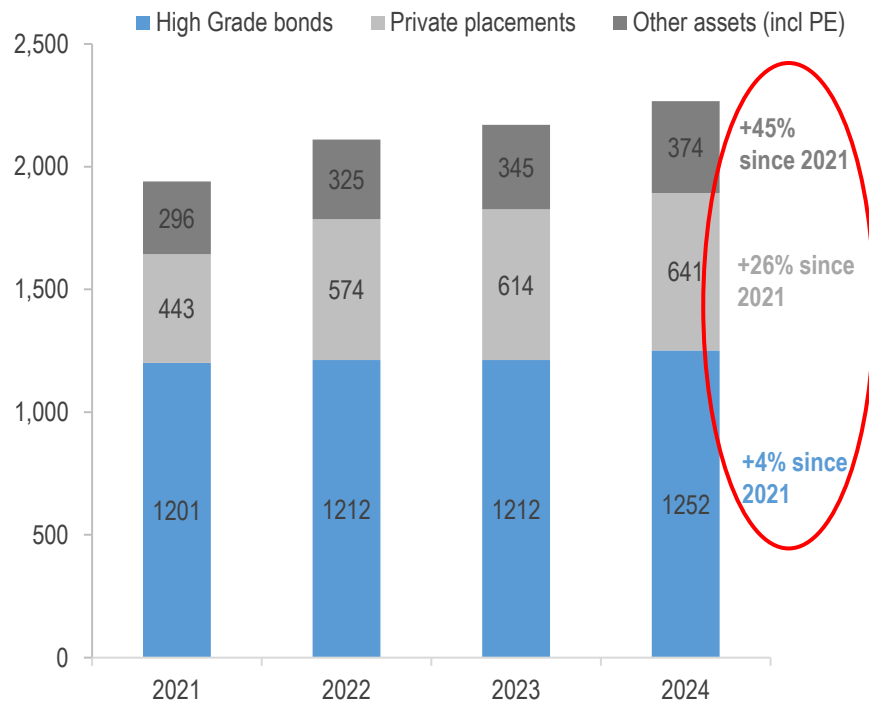
Insurance owned share of the HG public bond market has steadily declined



Source: J.P. Morgan, NAIC. HG Bonds defined here as those in JULI

Technical: Insurance companies were focused on growing Alternatives and Illiquids recent years but more scrutiny on private credit should be a positive

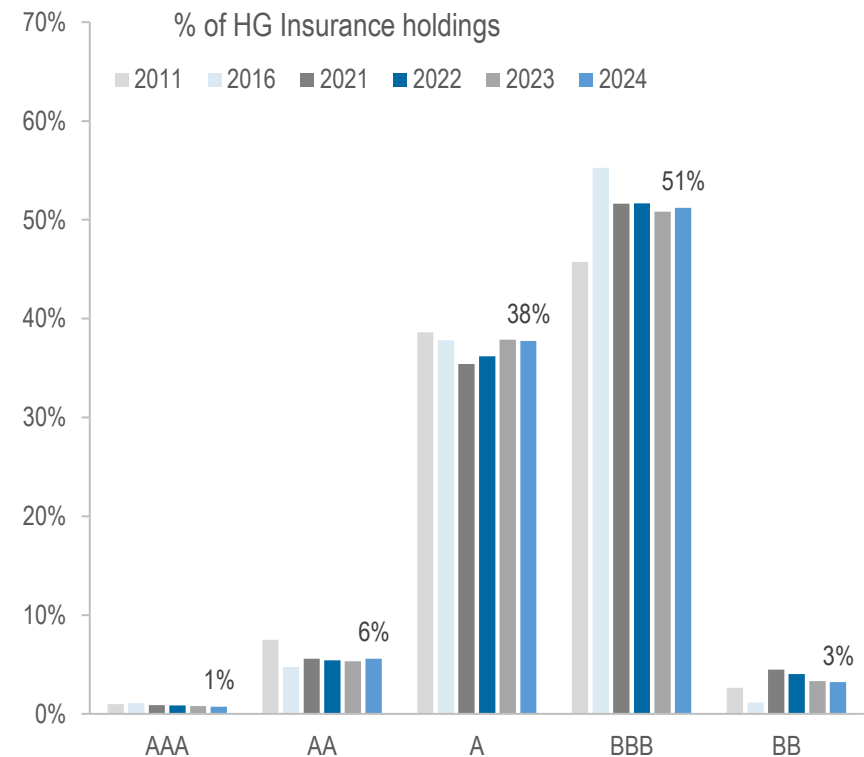
Insurance holdings of private placements and other assets have increased faster than public HG bonds



Source: J.P. Morgan; NAIC. As of 4Q24

Note: HG and private placements determined by NAIC Schedule D Classification category. Other assets including PE determined by NAIC Schedule BA Classification category.

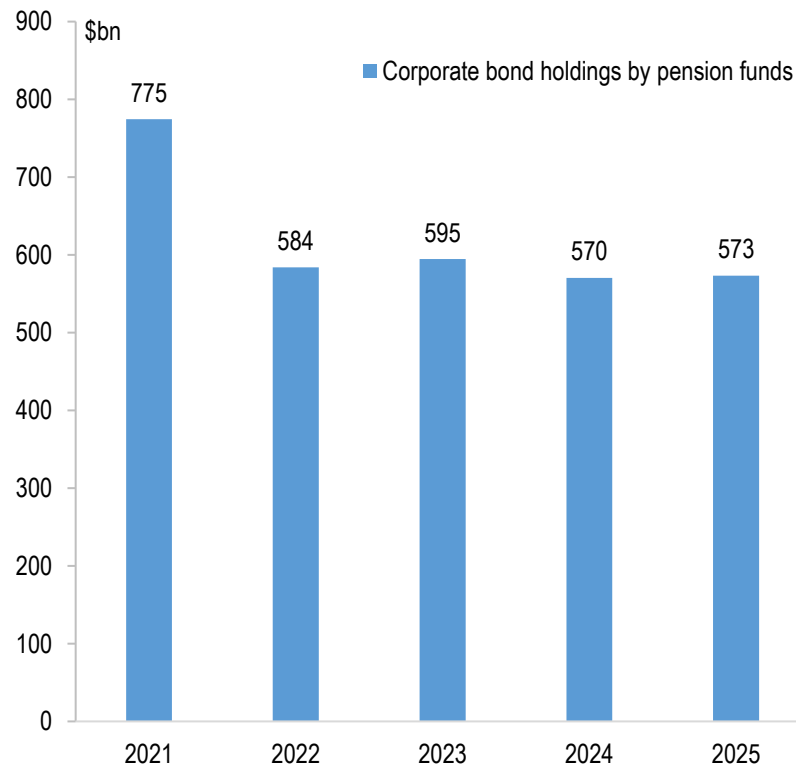
Within public credit, still a strong preference for IG



Source: J.P. Morgan, NAIC.

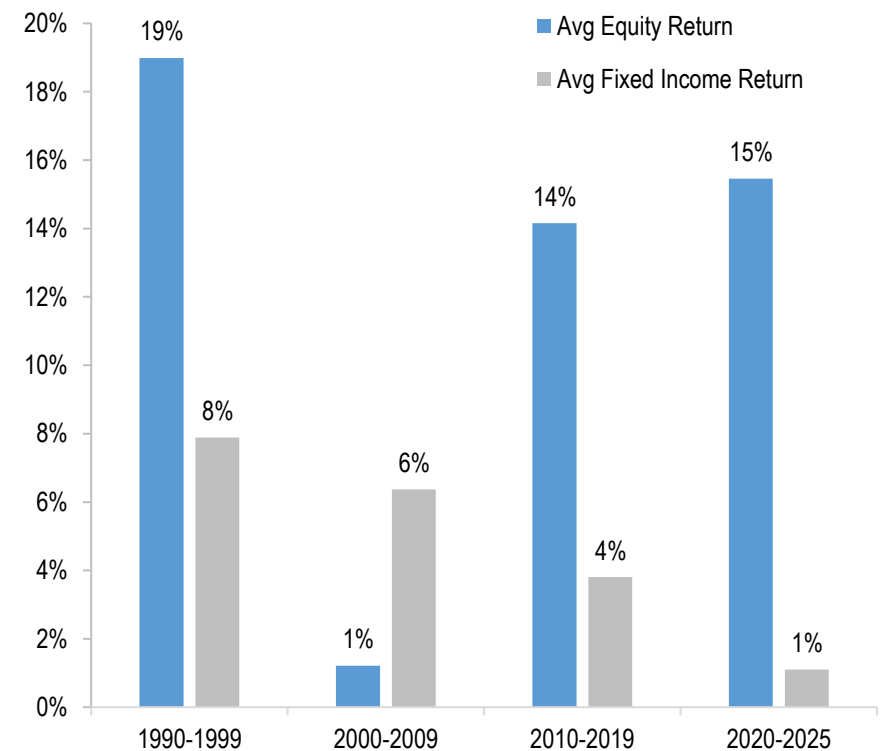
Technical: Pension fund demand is flat, likely remains this way so long as equities continue to outperform

Pension holdings of corporates have stayed flat



Source: J.P. Morgan; Milliman as of October 2025

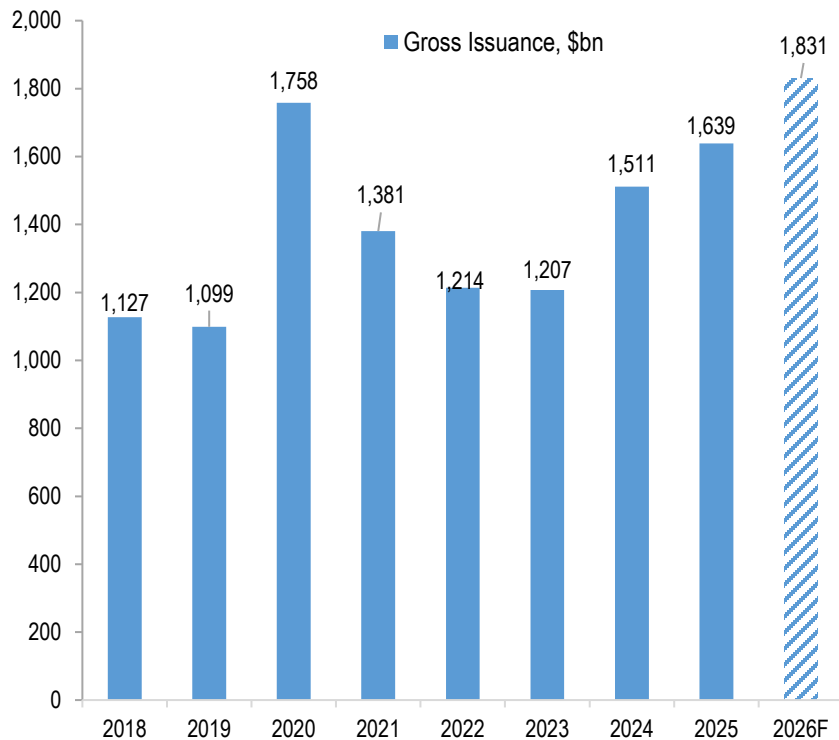
The gap between Equity and Fixed Income returns has been growing over time, in favor of Equities



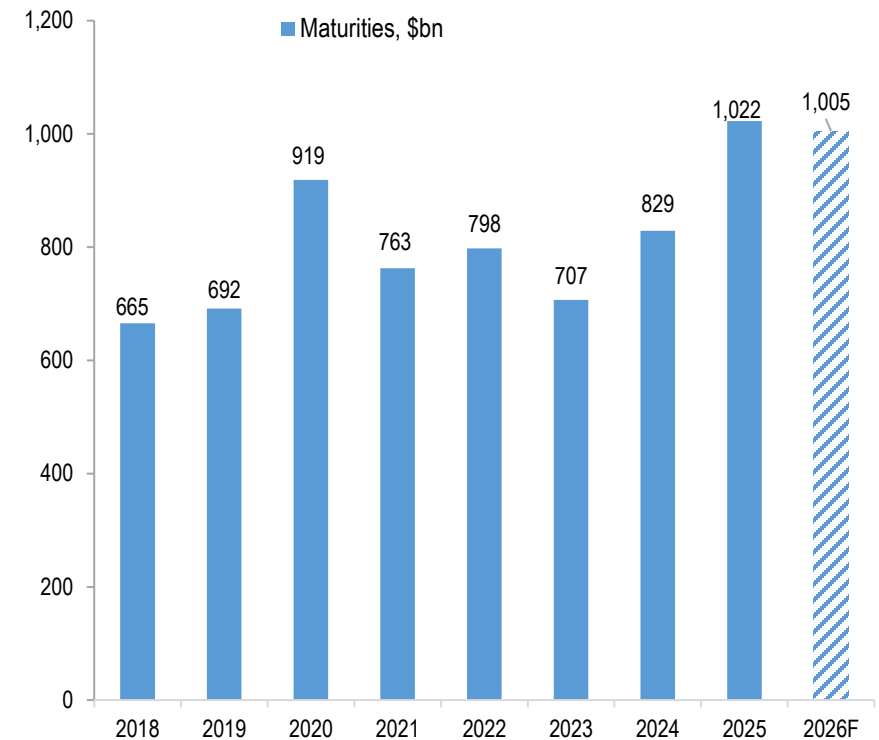
Source: J.P. Morgan; Bloomberg Finance L.P.

Technicals: We expect 2026 to be a record supply year and forecast \$1.81tr of issuance

2026 Gross issuance is expected to rise to \$1.8tr



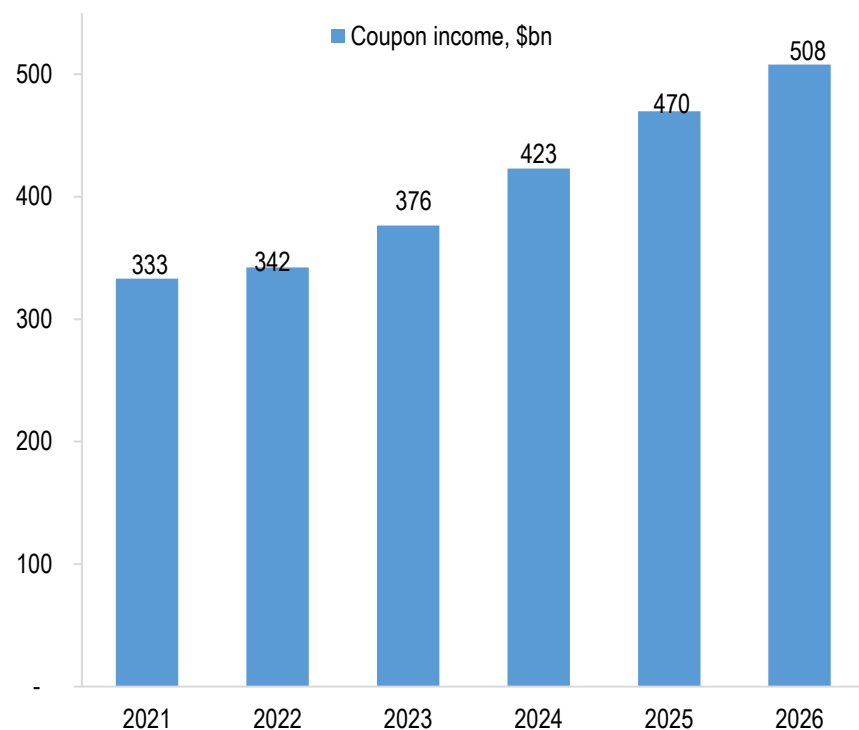
Maturities in 2026 to stay near the record level of 2025



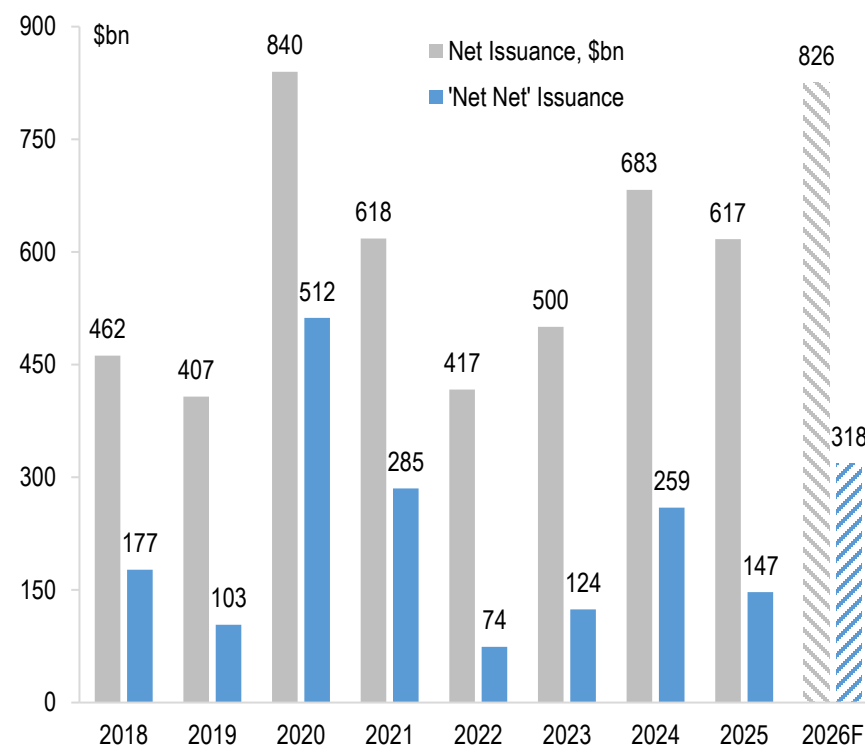
Source: J.P. Morgan. As of 2/2/2026

Technical: Record coupon flow reduces net issuance further

We estimate \$508bn in coupon income in 2026, up 8% YoY



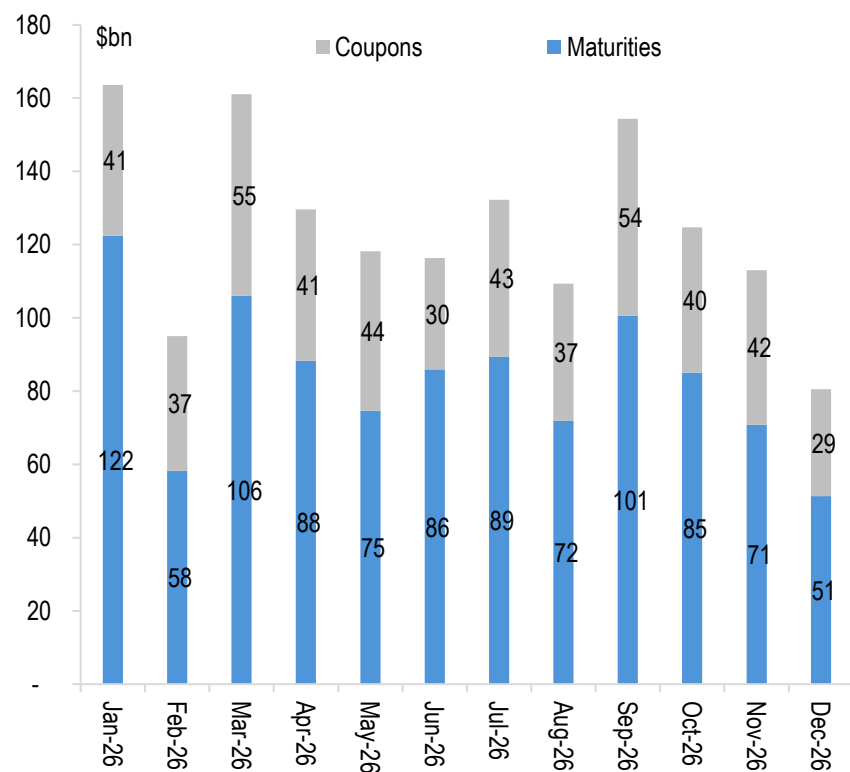
'Net net' issuance up 2x versus 2025



Source: J.P. Morgan; 'Net net' is Net minus coupons. As of 2/2/2026

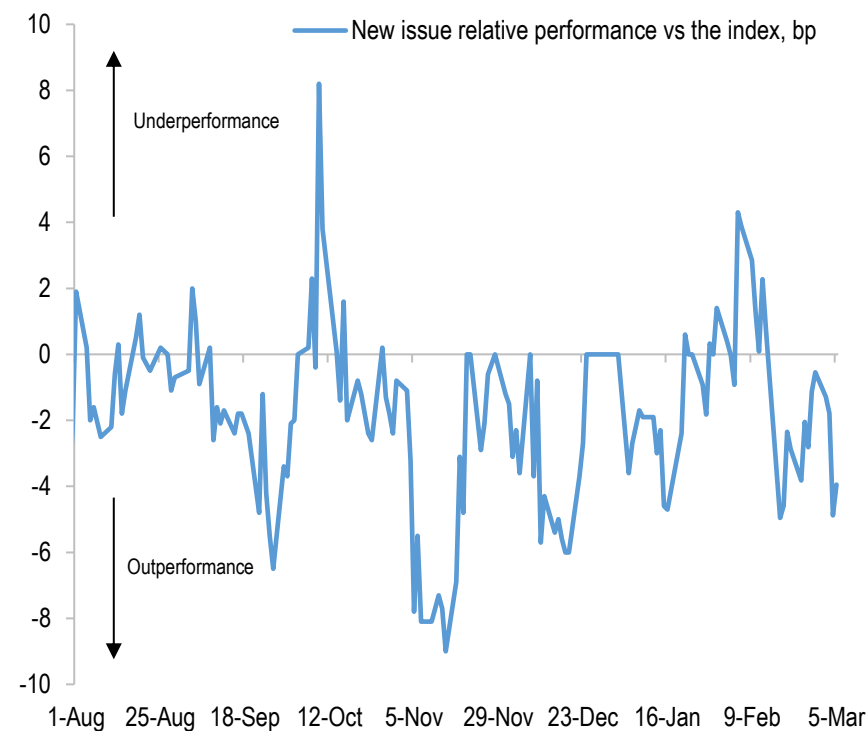
Technical: Likely to improve in the coming months

Reinvestment income jumps in March



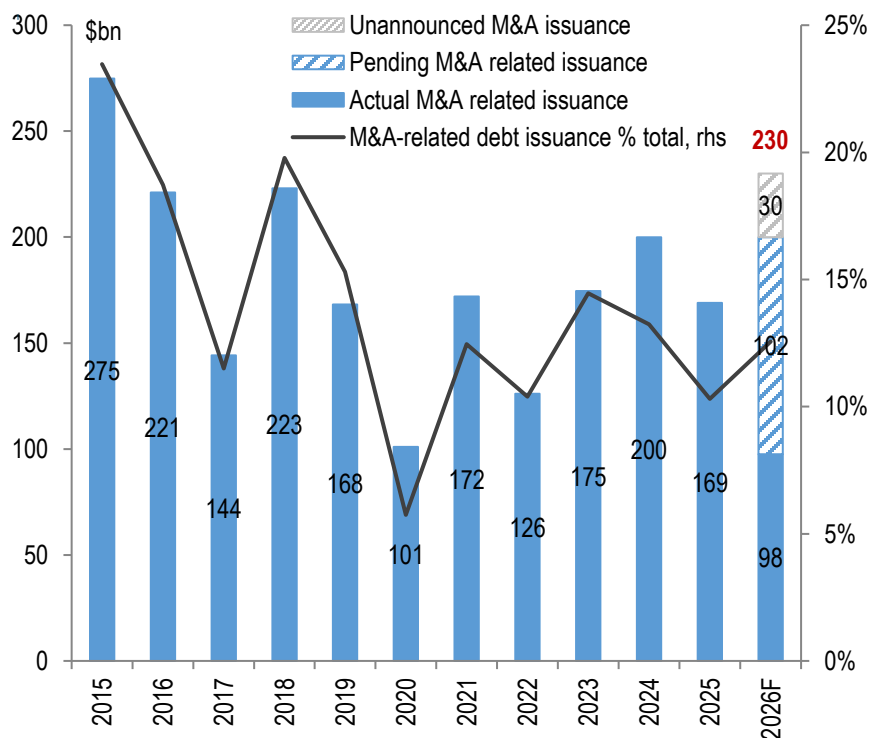
Source: J.P. Morgan, Bloomberg L.P. Finance, Dealogic

New issue outperformance has improved in February despite high primary volumes



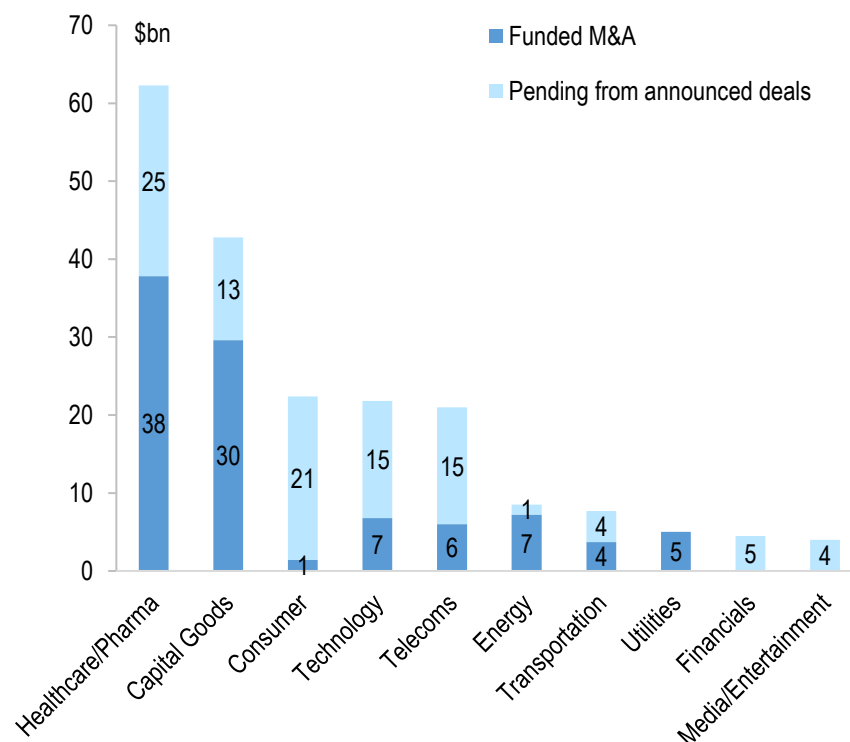
Technical: The M&A pipeline is high for 2026, implying more long-end supply

We expect M&A supply to pick up in 2026 to a decade high



Source: J.P. Morgan. As of 3/16/2026

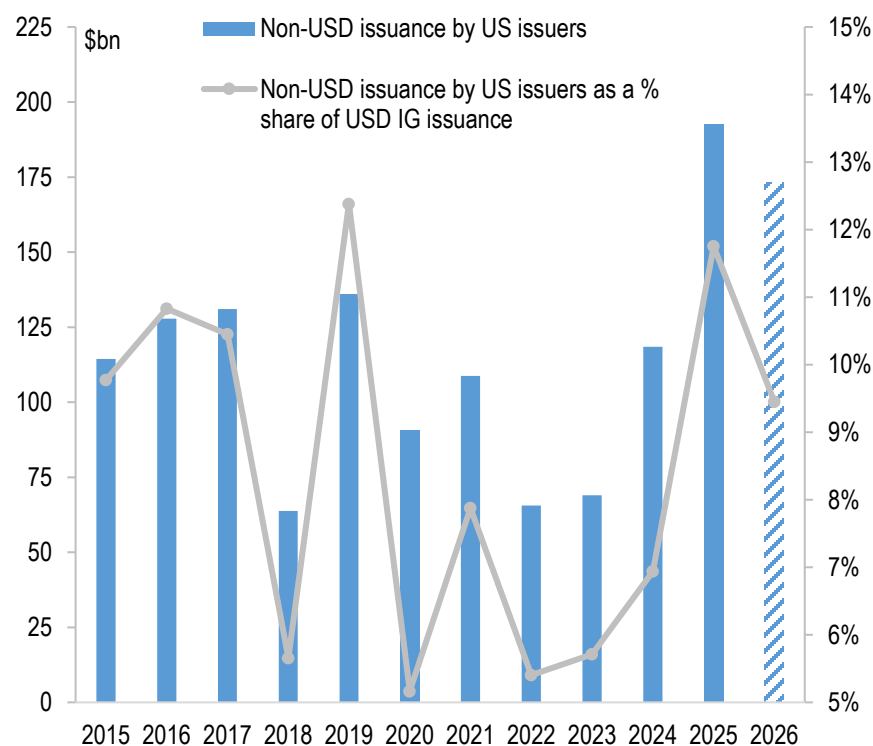
Healthcare/Pharma sector alone accounts for 32% of the M&A activity in our forecast



Source: J.P. Morgan

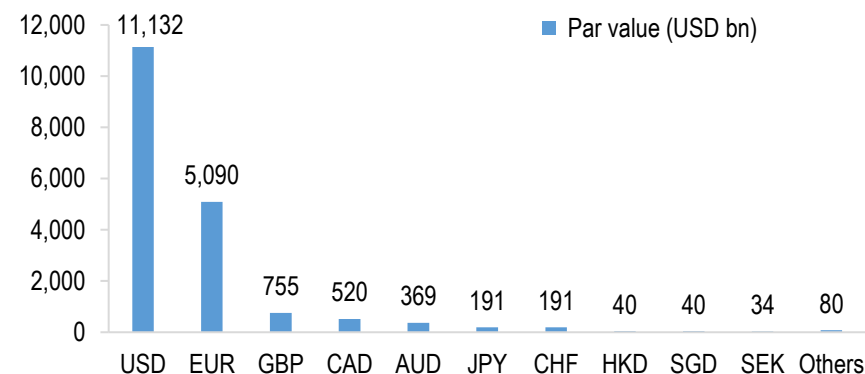
Technical: Strong non-USD issuance is a modest drag on USD issuance

Reverse Yankee issuance was a record in 2025 and has started 2026 at a strong pace

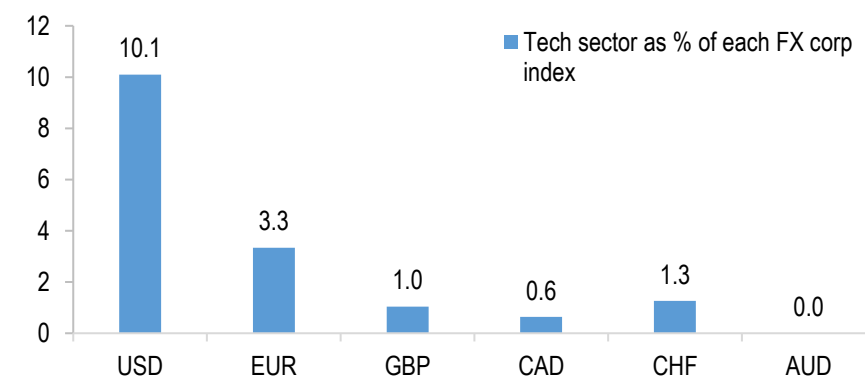


Source: J.P. Morgan, Bloomberg L.P. Finance; Note: Annualized 2026 figures.

DM IG corporate credit markets by FX



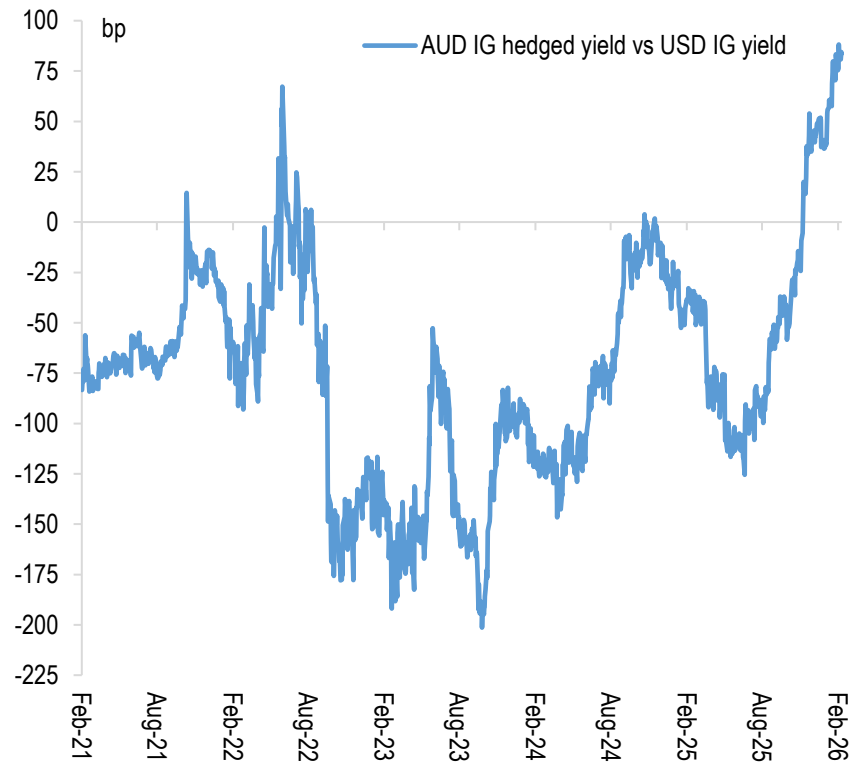
Most non-USD markets currently have very little exposure to the Tech sector



Source: J.P. Morgan, Bloomberg L.P. Finance

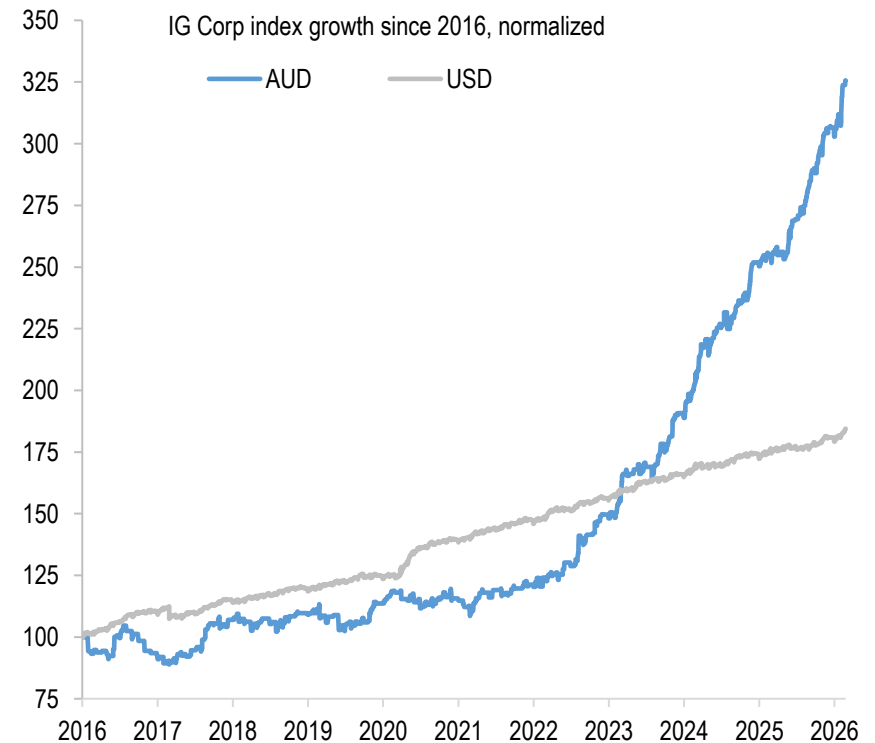
Relative Value: AUD IG market cheap to USD IG and is growing fast

The yield pickup between AUD and USD IG corporate credit is at the highest since August 2022



Source: J.P. Morgan, Bloomberg Finance L.P. As of 02/27/2026

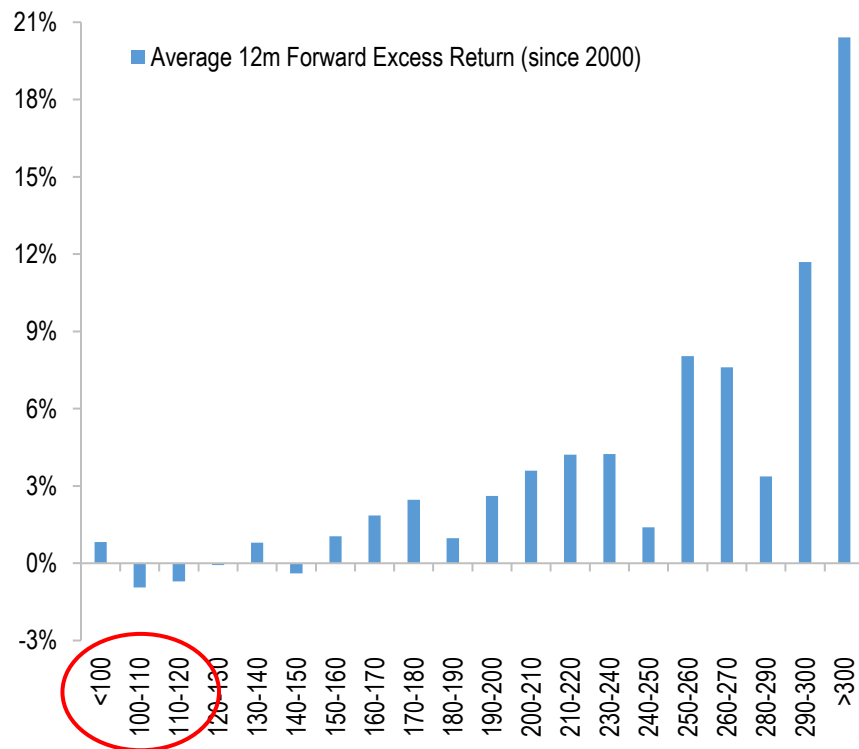
Though still small, the AUD credit market has started growing much faster than the USD market



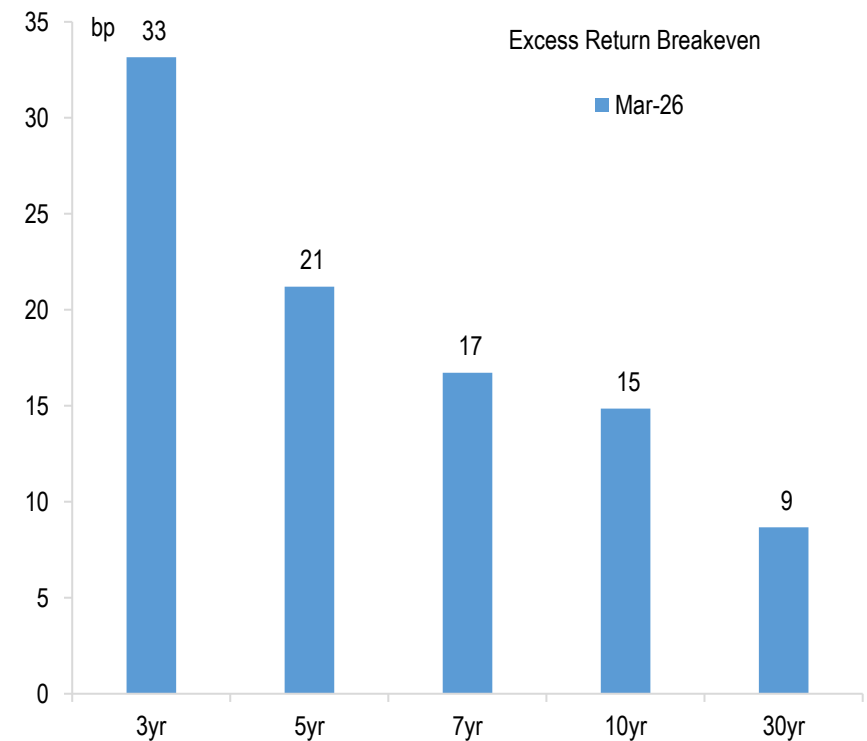
Source: J.P. Morgan, Bloomberg Finance L.P. As of 02/27/2026

Valuations: Spreads are at a level that, historically, has not led to positive excess return. The spread breakeven in the long end is very low

Forward 12m excess returns have historically been negative at the current spread level



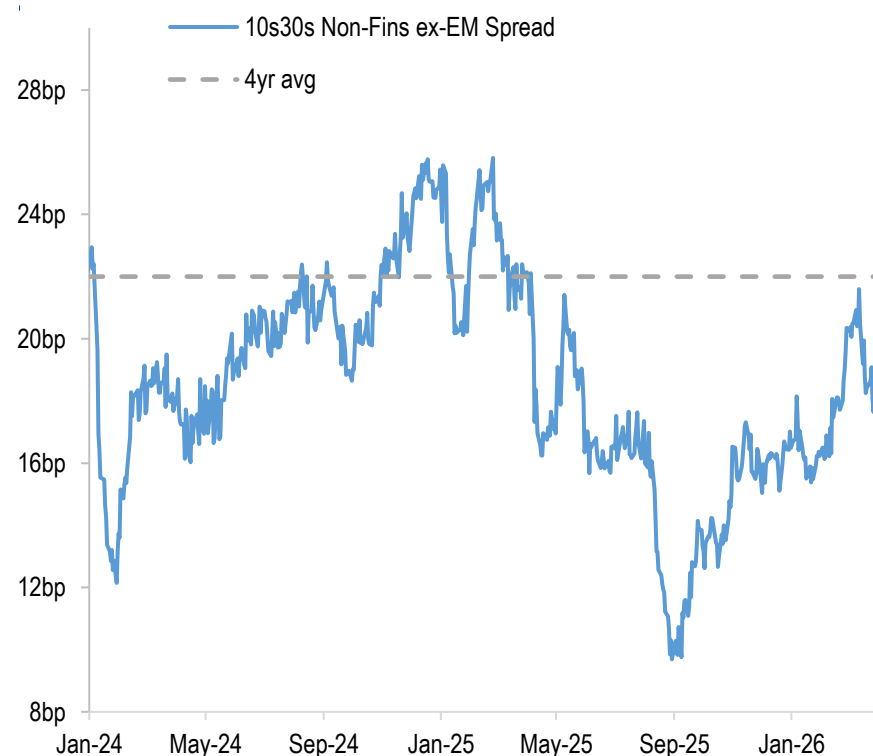
Spread breakevens are very low in the long end



Source: J.P. Morgan

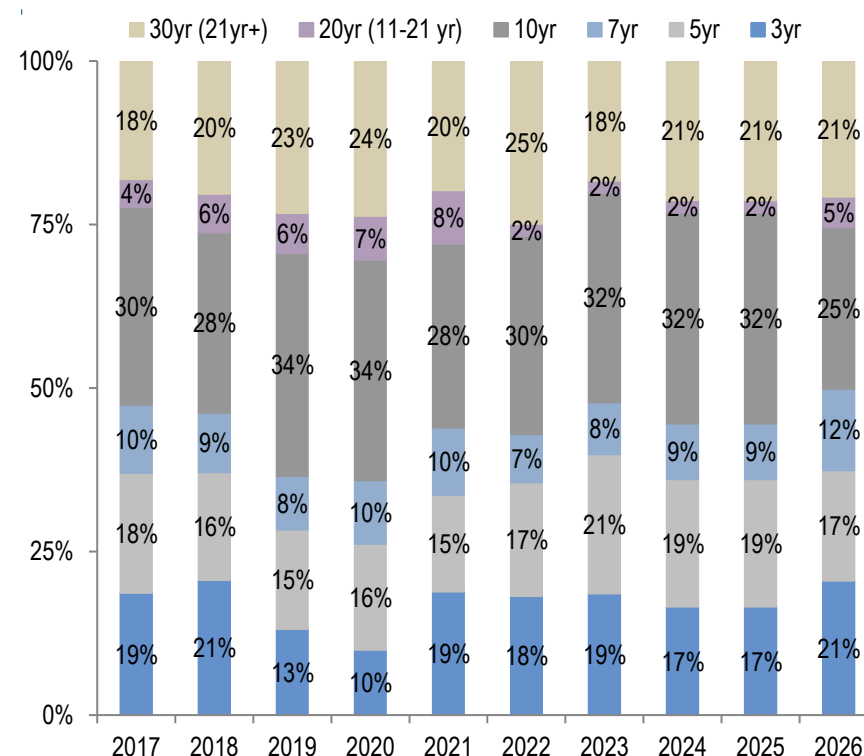
Valuations: Steeper 10s30s driven by uptick in long-end supply

A steeper 10s30s spread curve YTD



Source for both: J.P. Morgan. As of 04/01/2026

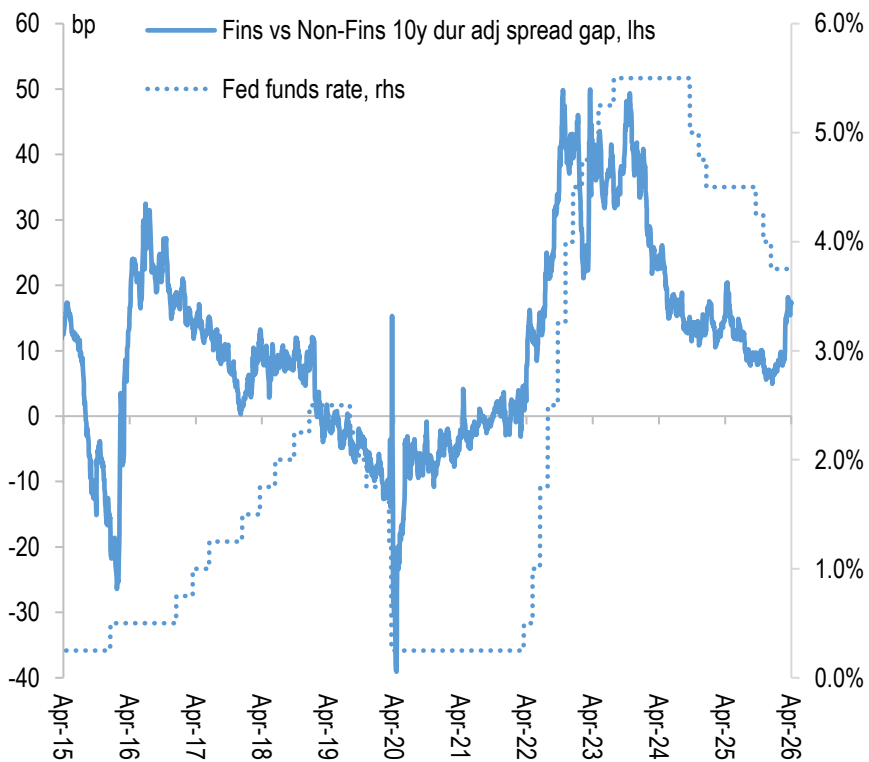
10+ year Non-Financials issuance increased to 26% YTD with a notable pickup in February



Source: J.P. Morgan, Dealogic, As of 3/13/2026

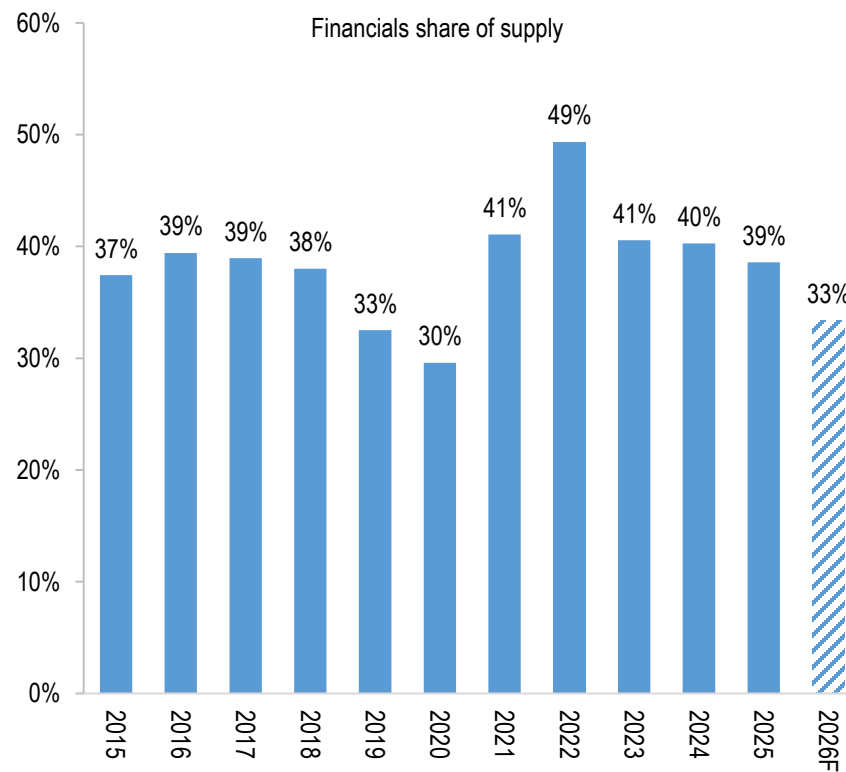
Valuations: A port in the AI storm? Financials likely to outperform Non-Financials again in 2026

Financials have steadily outperformed for 3 years in a row but there is some room for further outperformance in 2026



Source: J.P. Morgan.

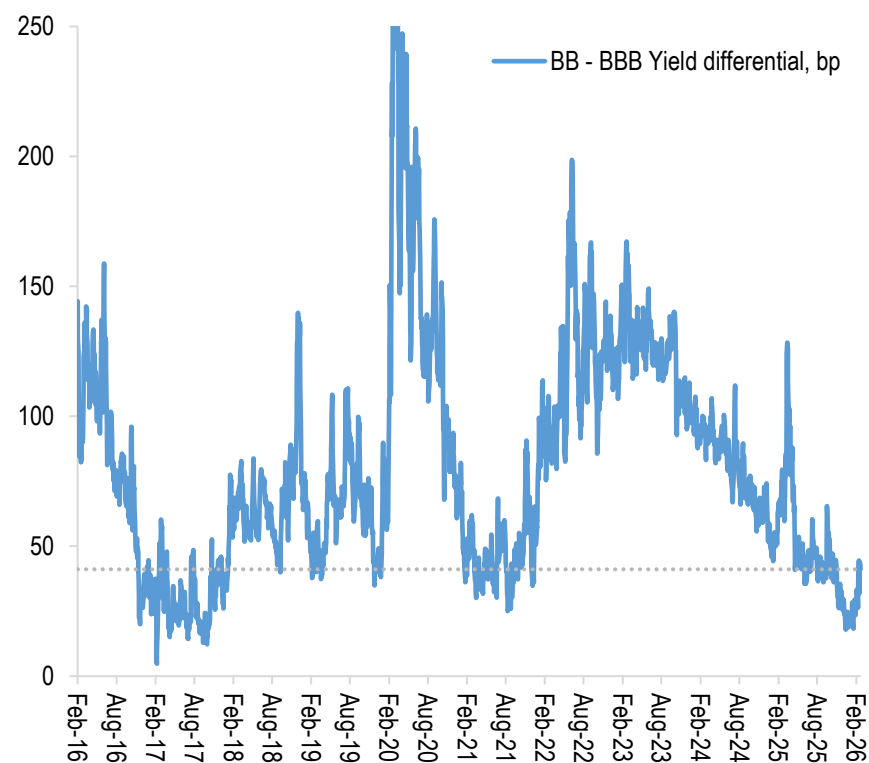
Financials share of supply next year is expected to be lowest since 2020



Source: J.P. Morgan, Dealogic.

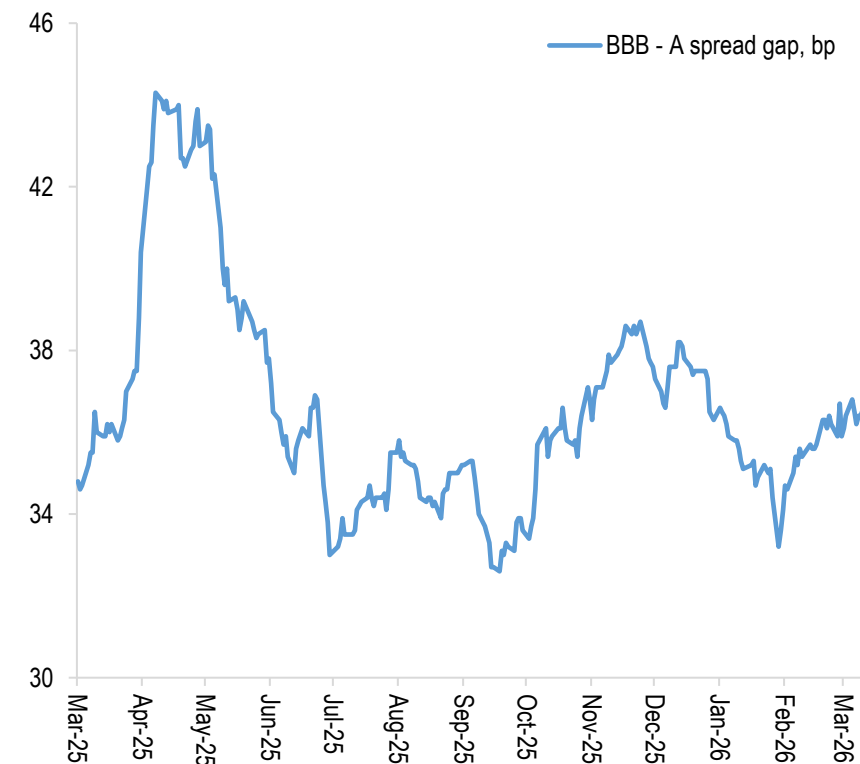
Valuations: The cost of moving up in quality from BB to BBB is near an 8yr low

The BB/BBB yield differential is close to its lowest since late 2017 but has widened recently with the sell-off



Source: J.P. Morgan. As of 03/16/2026

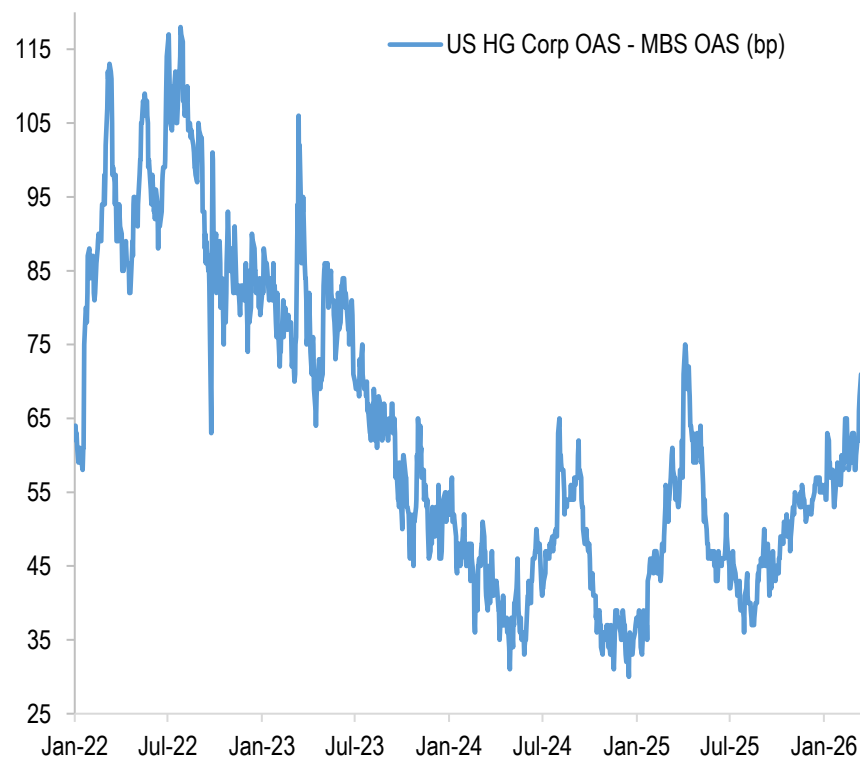
BBB spreads are not at their tight vs As



Source: J.P. Morgan. As of 03/16/2026

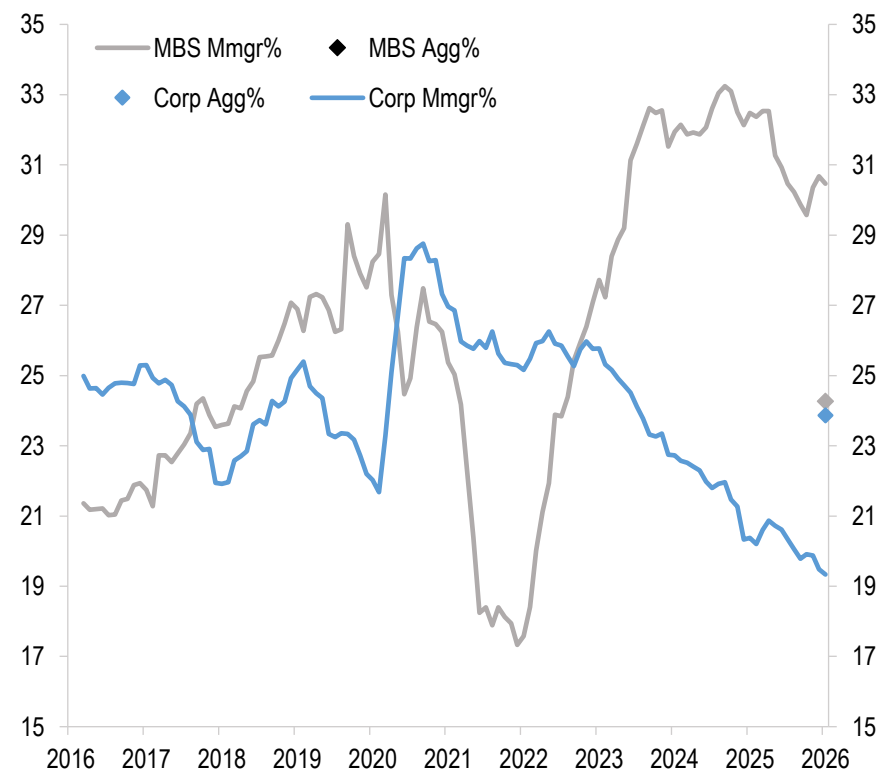
Relative Value: MBS could modestly outperform HG again

MBS spreads have outperformed Corps over the past year, with GSE purchases an additional positive catalyst



Source: J.P. Morgan.

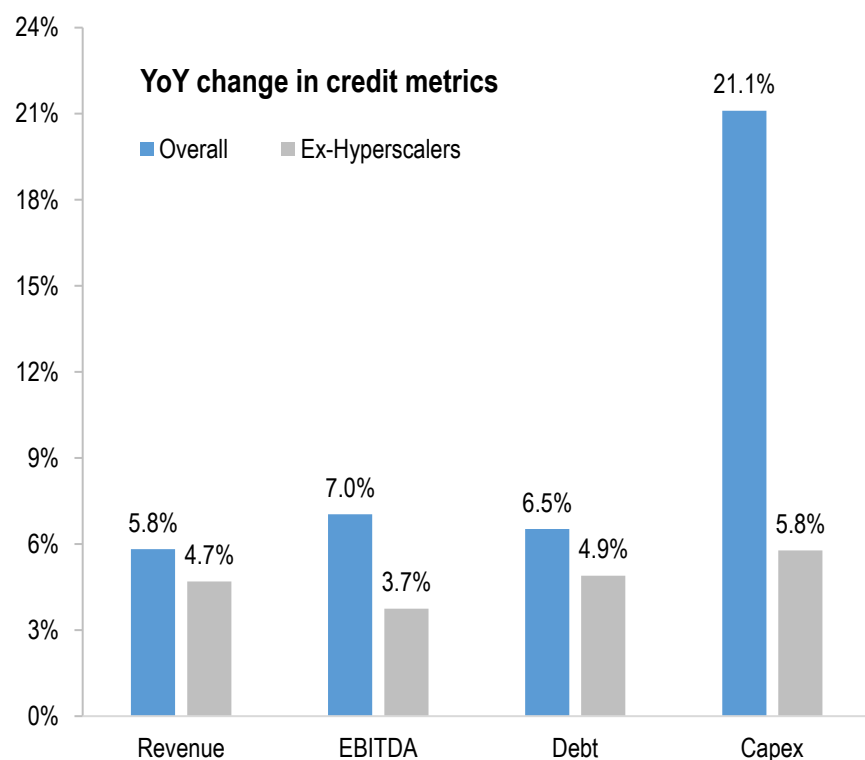
We've seen some money managers reduce their overweight in MBS in favor of Corps



Source: J.P. Morgan, MorningstarDirect.

Fundamentals: Hyperscalers already leaving a positive mark on fundamentals

Hyperscalers are a significant positive contributor to HG fundamentals already



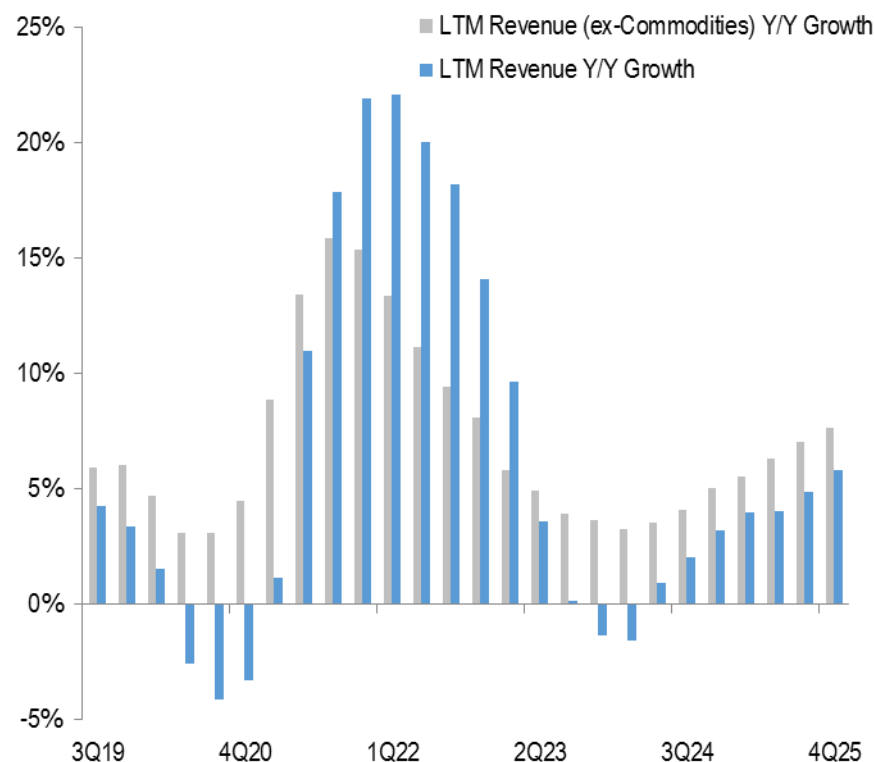
Hyperscalers are half as levered and have a 7x stronger interest coverage buffer than the rest of HG

Metric	Hyperscalers	ex-Hyperscalers	Hyperscalers YoY Change; %	ex-Hyperscalers YoY Change; %
Gross Leverage	1.8x	3.3x	0.4x (24%)	0.1x (2%)
Net Leverage	1.1x	2.9x	0.3x (34%)	0.1x (2%)
EBITDA Margin	42%	31%	0.3% (1%)	-0.5% (-2%)
Interest Coverage	64.4x	8.7x	-22.1x (-26%)	-0.2x (-3%)
Payout Ratio	30%	37%	-8.3% (-22%)	-0.8% (-2%)

Source for both: J.P. Morgan

Fundamentals: Revenue grew the most in last twelve quarters and eleven of eighteen sectors posted positive revenue growth y/y

Revenue grew the most since 1Q23



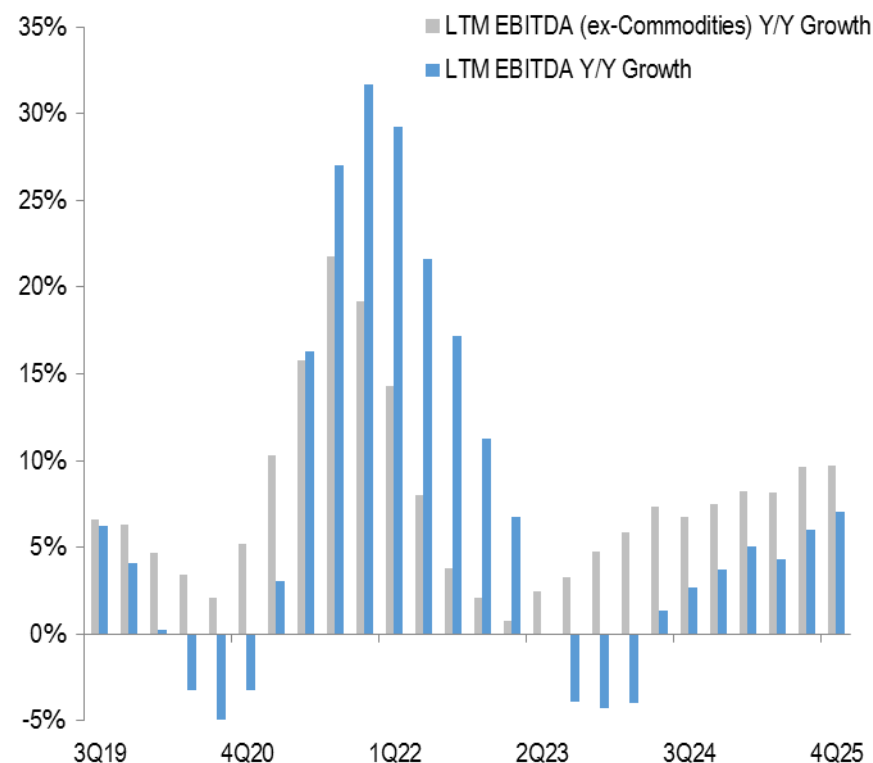
Source for both: J.P. Morgan

Strongest to weakest Revenue growth by sector y/y

	4Q25	q/q chg	q/q % chg	y/y chg	y/y % chg
Diversified Media	359.4	14.3	4.1%	42.3	13.4%
Technology	2,398.1	87.3	3.8%	261.4	12.2%
Healthcare/HMOs	2,194.3	57.8	2.7%	221.3	11.2%
Utilities	387.8	9.6	2.5%	35.6	10.1%
Capital Goods	729.6	24.4	3.5%	64.1	9.6%
Pharmaceuticals	964.3	13.7	1.4%	71.6	8.0%
Telecoms - Yankees	295.0	(2.7)	-0.9%	13.7	4.9%
Non-Food Retail	1,349.3	15.3	1.1%	60.3	4.7%
Telecoms - Domestic	382.9	5.4	1.4%	15.4	4.2%
Metals/Mining	537.1	24.0	4.7%	21.4	4.1%
Food/Beverages	704.5	13.3	1.9%	22.5	3.3%
Food/Drug Retail	211.8	1.4	0.6%	(0.1)	-0.1%
Cable/TV	178.5	0.1	0.0%	(0.3)	-0.2%
Transportation	285.5	(0.7)	-0.2%	(1.3)	-0.5%
Automotive	469.2	(4.3)	-0.9%	(2.2)	-0.5%
Energy	2,087.2	-	0.0%	(37.2)	-1.7%
Consumer Products	328.2	(5.1)	-1.5%	(7.0)	-2.1%
Chemicals	136.2	(7.4)	-5.1%	(11.0)	-7.5%
Overall	13,998.9	246.4	1.8%	770.5	5.8%
Overall ex-Comm	11,238.5	229.7	2.1%	797.3	7.6%

Fundamentals: EBITDA growth outpaced revenue and nominal GDP growth materially both with and without commodities

EBITDA growth was strongest since 4Q22



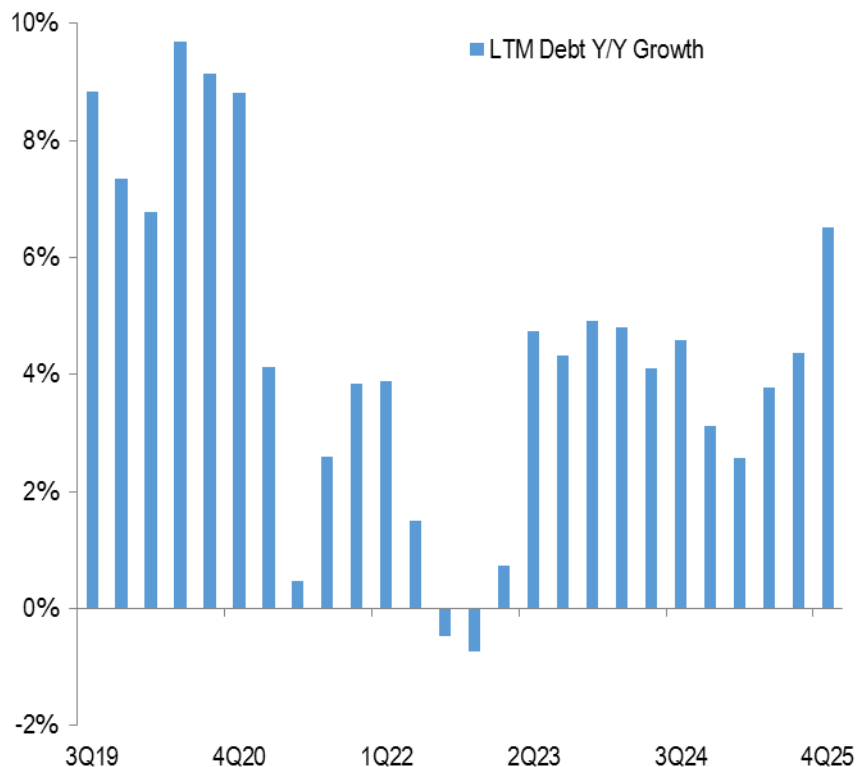
Source for both: J.P. Morgan

Strongest to weakest EBITDA growth by sector y/y

	4Q25	q/q chg	q/q % chg	y/y chg	y/y % chg
Technology	836.4	40.9	5.1%	136.9	19.6%
Capital Goods	121.4	13.3	12.3%	16.3	15.5%
Telecoms - Yankees	110.0	(0.8)	-0.7%	14.2	14.8%
Pharmaceuticals	353.2	7.1	2.0%	41.8	13.4%
Utilities	160.3	3.4	2.1%	17.3	12.1%
Diversified Media	131.3	1.4	1.1%	9.2	7.6%
Non-Food Retail	102.0	1.0	1.0%	2.5	2.5%
Transportation	76.3	-	0.0%	1.6	2.2%
Food/Beverages	139.5	2.4	1.8%	1.9	1.4%
Food/Drug Retail	28.1	0.3	1.2%	(0.3)	-0.9%
Cable/TV	59.4	(1.0)	-1.6%	(0.7)	-1.1%
Metals/Mining	107.6	4.1	4.0%	(1.6)	-1.5%
Energy	456.5	0.9	0.2%	(10.9)	-2.3%
Consumer Products	74.0	(1.7)	-2.2%	(2.5)	-3.3%
Telecoms - Domestic	135.7	1.8	1.4%	(6.6)	-4.7%
Healthcare/HMOs	90.5	(7.2)	-7.3%	(8.5)	-8.6%
Automotive	45.5	(1.1)	-2.4%	(5.2)	-10.3%
Chemicals	19.5	(2.3)	-10.6%	(4.9)	-20.2%
Overall	3,047.4	62.6	2.1%	200.5	7.0%
Overall ex-Comm	2,463.7	59.8	2.5%	217.9	9.7%

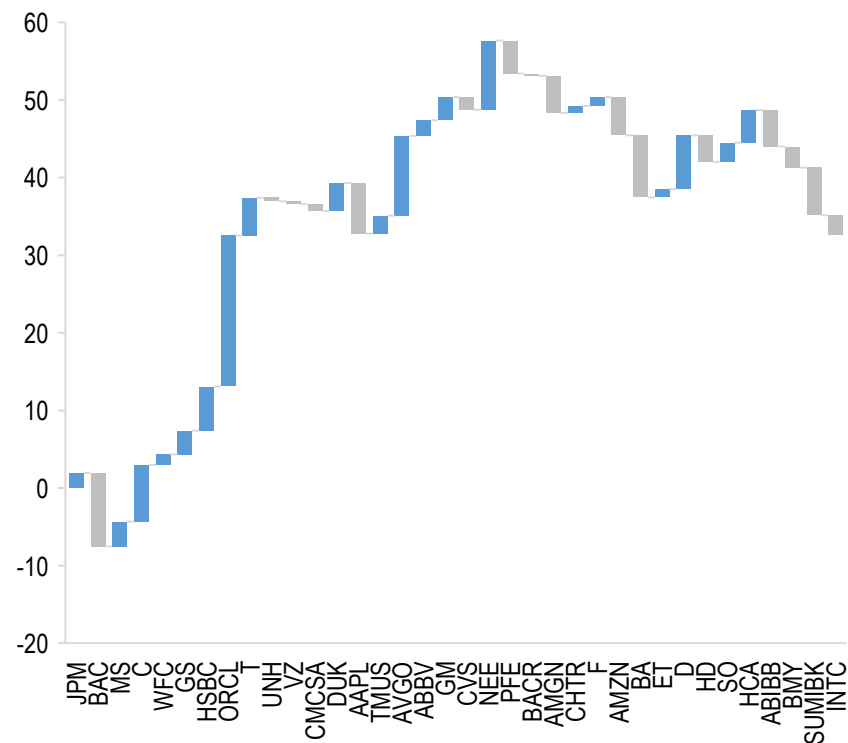
Fundamentals: Debt growth was 2x more than the prior 2 year average as companies' conservative balance sheet management coming to an end

Debt growth picked up in 4Q25 and expected to increase further in 2026



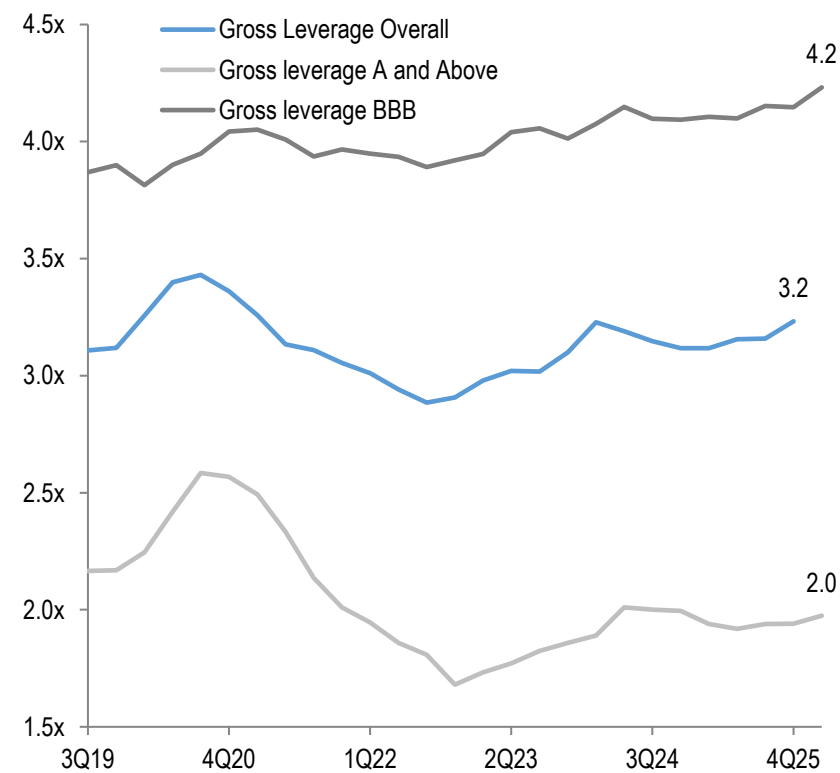
Source for both: J.P. Morgan

Y/Y change in debt for largest HG issuers: While debt is much higher for some, many are cutting too



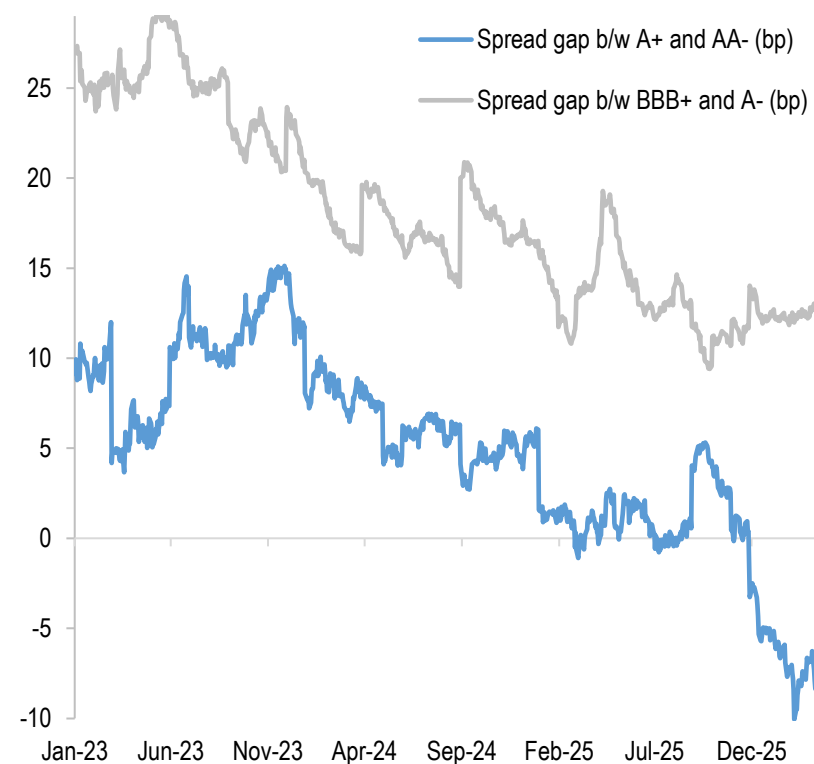
Fundamentals: Leverage trends not particularly concerning

Leverage for higher rated names increased marginally while deteriorated more meaningfully for BBB rated issuers



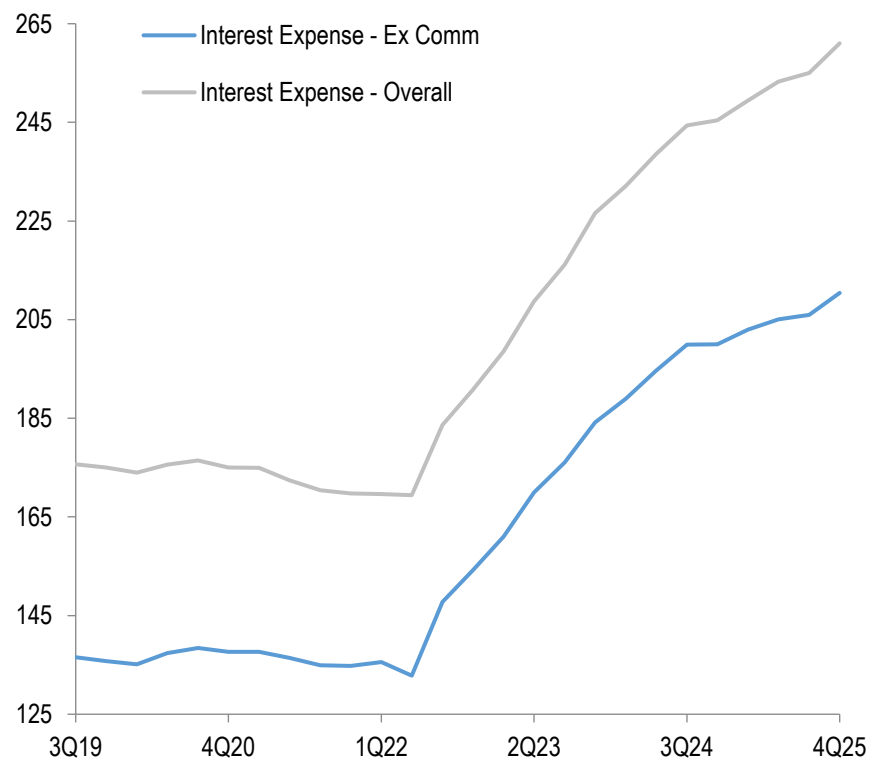
Source for both: J.P. Morgan

The cost of a downgrade within HG is low now with only a modest spread difference between ratings categories



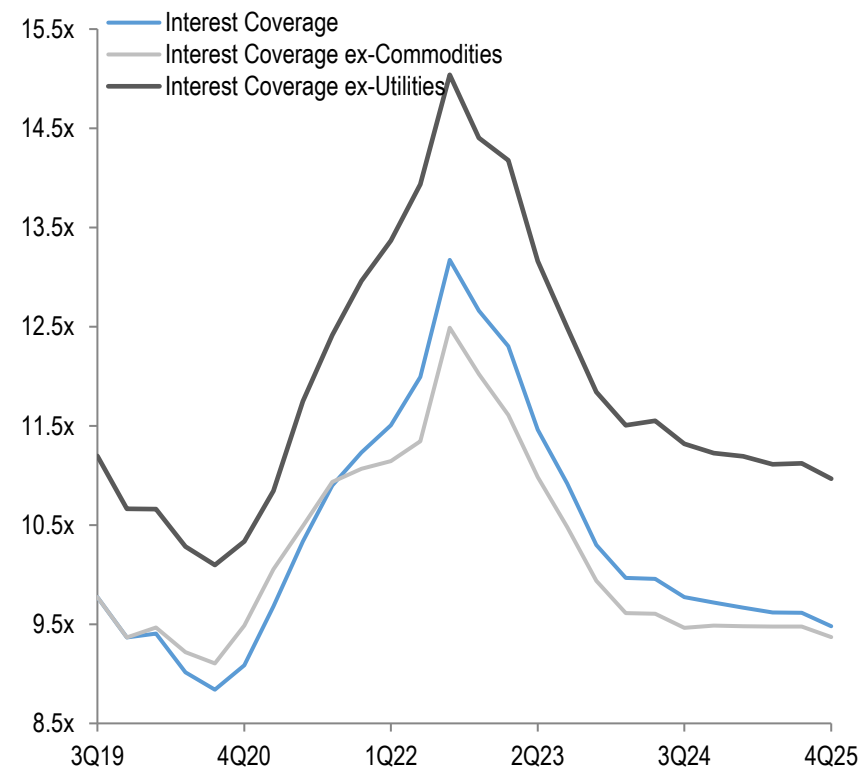
Fundamentals: Interest expense increased by 6.4% YoY, which was the 14th consecutive quarterly increase

Interest expense rose for the 14th consecutive quarter



Source for both: J.P. Morgan

Interest coverage ratio continued its decline but at a less rapid pace



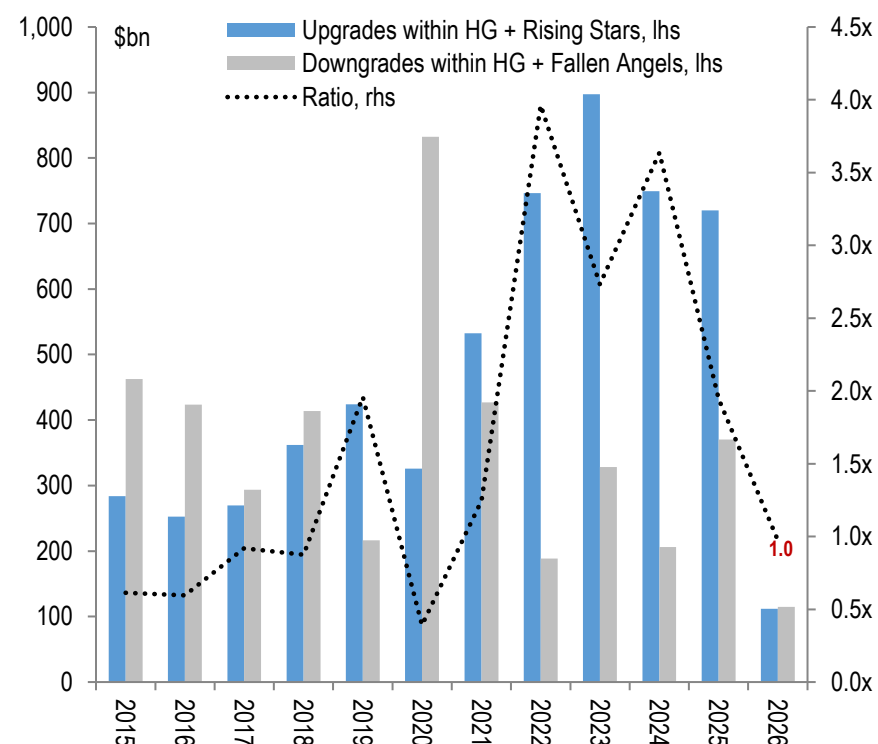
Fundamentals: The share of BBB- debt in the index is the lowest in 20 years as upgrades continue to exceed downgrades

The BBB- portion of the index is at a record low and BBB overall is also at a 14y low



Source: J.P. Morgan, Bloomberg Finance L.P.

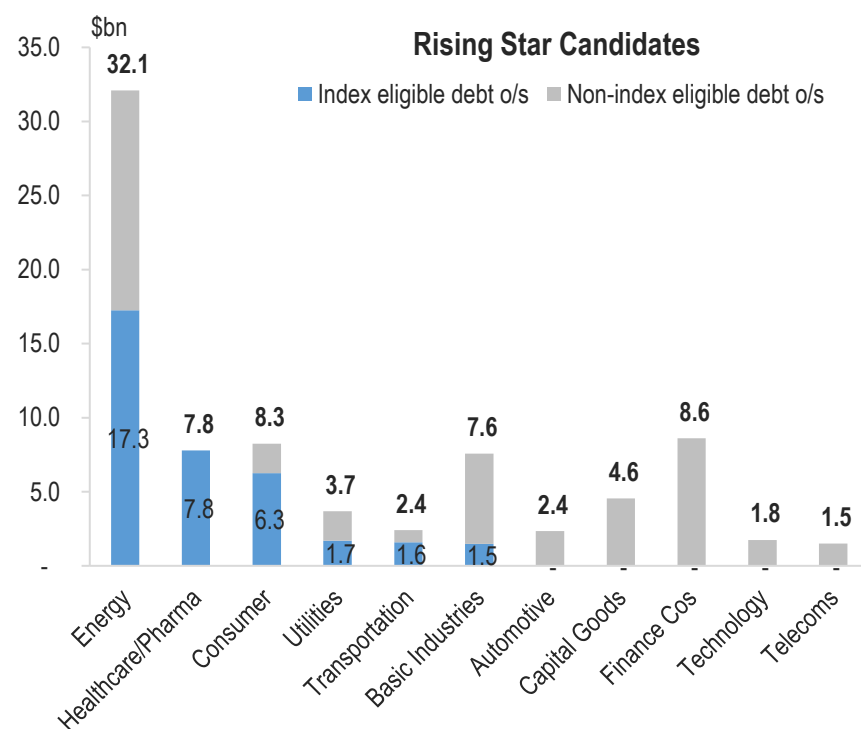
The ratio of upgrades to downgrades in 1Q26 stands at 1.0x, the lowest since FY2020



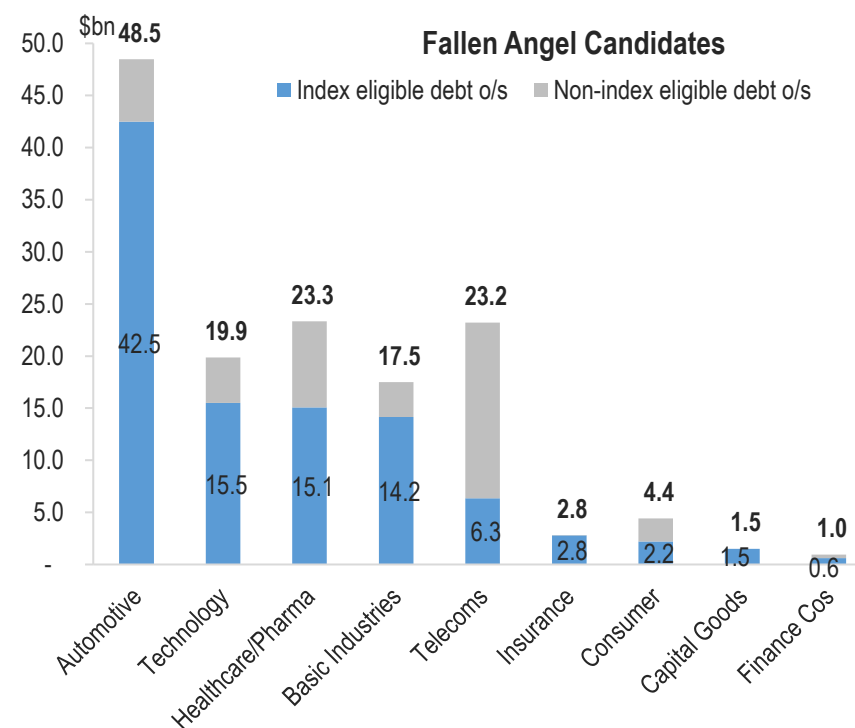
Source: J.P. Morgan, Bloomberg Finance L.P.

Fundamentals: Potential Rising Stars and Fallen Angels

2026-27 Rising Star Candidates



2026-27 Fallen Angel Candidates



Source: J.P. Morgan. As of 03/31/2026

US HG Credit Sector recommendations – Long Banks and Healthcare vs. Short Cyclical

Sector	Analyst	Recommendation	Spread	% weight
US Banks	Kabir Caprihan	OW	95	12.1%
Regional US Banks		N	103	2.1%
Large US Banks - Sen HoldCos		OW	91	8.2%
Large US Banks - Sub HoldCos		N	122	0.9%
Yankee Banks	Kabir Caprihan	OW	102	9.1%
UK Holdco		OW	113	2.1%
Japanese Banks		OW	90	1.5%
Euro Senior		OW	106	2.2%
Euro Sen Non Pref		N	77	0.1%
Australia/NZ Banks		OW	86	1.0%
Canadian Banks		UW	70	1.1%
Finance Companies	Kabir Caprihan	UW	120	3.9%
Insurance	Brett Gibson	UW	106	4.8%
Life Insurance		UW	113	3.0%
P&C Insurance		N	97	1.8%
Automotive	Evan Piascik	UW	118	3.1%
Automotive Finance Co		UW	111	2.5%
Automotive Manufacturing		UW	156	0.4%
Automotive Suppliers		UW	92	0.2%
Basic Industries		UW	106	3.0%
Metals/Mining	Arjun Chandar	UW	92	0.9%
Paper/Packaging	Arjun Chandar	N	105	0.4%
Chemicals	Aaron Rosenthal	UW	123	1.0%
Capital Goods		N	81	4.8%
Aerospace/Defense	Yilma Abebe	OW	88	2.1%
Manufacturing	Evan Piascik	N	74	2.7%
Consumer	Carla Casella	N	88	6.3%
Tobacco		OW	102	1.2%
Food/Beverages		UW	87	3.6%
Consumer Products		UW	71	0.8%

Sector	Analyst	Recommendation	Spread	% weight
Energy	Matthew Anavy	N	104	7.2%
Pipelines/Midstream/MLP		N	115	3.5%
Integrated Energy		N	75	1.7%
Exploration/Production		UW	110	1.3%
Refiners		N	112	0.4%
Energy Services		UW	99	0.3%
Healthcare Pharmaceuticals	Brett Gibson	OW	88	10.2%
Large Cap Pharma		OW	73	3.6%
Medical Devices		N	76	1.3%
Biotech Generics		N	86	2.0%
Healthcare Services		OW	109	3.4%
Media Entertainment	Erica Spear	UW	132	2.9%
Cable/Satellite		UW	157	1.7%
Diversified Media		UW	99	1.3%
Property Real Estate	Mark Streeter	N	100	2.6%
Retail	Carla Casella	UW	80	2.6%
Food/Drug Retail		UW	91	0.7%
Non-Food Retail		UW	76	1.9%
Technology	Erica Spear	N	105	10.9%
Telecoms	Erica Spear	N	104	4.2%
Domestic Telecoms		N	103	3.3%
Yankee Telecoms		N	109	0.9%
Transportation	Mark Streeter	N	87	2.4%
Aviation		N	110	0.6%
Freight		N	92	0.6%
Railroads		UW	81	1.2%
Utilities	Kevin Kwan	N	97	9.9%
Utilities OpCos		N	95	6.4%
Utilities HoldCos		N	102	2.5%
Utilities Power Gencos		N	115	0.4%

Source: J.P. Morgan, as of 03/31/2026

US Credit Market Liquidity: 2025 Update

High Grade - Activity up 17% y/y driven by CDX products, especially the CDX index

\$bn/day	2025	2024	2023	% chg since 2024	% chg since 2023
Single names	47.1	43.1	35.1	9%	34%
Secondary bond	38.1	34.6	27.9	10%	36%
memo: y/y change in bond market size				5%	9%
Primary bond	6.6	6.0	4.8	9%	36%
Single name CDS	2.4	2.5	2.4	-1%	3%
CDX products	73.8	60.4	53.5	22%	38%
CDX.IG index	63.3	46.9	43.8	35%	45%
memo: CDX daily chg	0.9	0.8	1.4	14%	-34%
CDX.IG options	10.3	13.2	9.6	-22%	8%
CDX.IG tranches	0.2	0.3	0.2	-29%	10%
Macro cash	6.4	5.4	4.7	18%	36%
iBoxx TRS	0.1	0.1	0.1	-4%	7%
Credit Futures	0.4	0.1	0.0	314%	879%
ETF	5.4	4.6	4.0	18%	34%
ETF Options	0.5	0.6	0.5	-19%	-5%
Total	127.3	108.9	93.3	17%	36%

Source: J.P. Morgan, Bloomberg Finance L.P., DTCC, SDR, FINRA, offTR = Off-the-run

High Yield trading - Activity up 26% driven by CDX and Macro cash

\$bn/day	2025	2024	2023	% chg since 2024	% chg since 2023
Single names	12.1	10.5	9.9	15%	21%
Secondary bond	10.1	8.5	8.3	18%	22%
memo: y/y change in bond market size				4%	3%
Primary bond	1.3	1.1	0.7	16%	88%
Single name CDS	0.6	0.8	0.9	-25%	-32%
CDX products	18.5	14.2	14.6	30%	27%
CDX.HY index	15.5	11.7	12.5	32%	24%
memo: CDX daily chg	4.9	4.1	7.6	20%	-35%
CDX.HY options	2.8	2.4	1.9	20%	48%
CDX.HY tranches	0.2	0.2	0.2	1%	-7%
Macro cash	8.8	6.5	7.8	35%	13%
iBoxx TRS	0.2	0.2	0.2	-4%	-9%
Credit Futures	0.3	0.1	0.0	273%	466%
ETF	4.6	3.9	4.4	18%	3%
ETF Options	3.8	2.3	3.1	62%	21%
Total	39.4	31.3	32.4	26%	22%

Source: J.P. Morgan, Bloomberg Finance L.P., DTCC, SDR, FINRA, offTR = Off-the-run

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*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "Overweight," "Neutral" and "Underweight" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

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